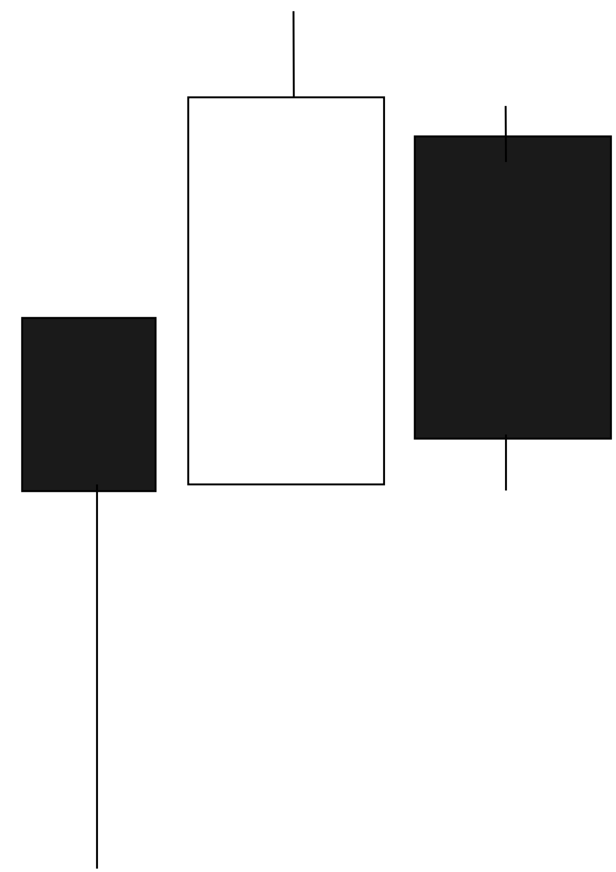
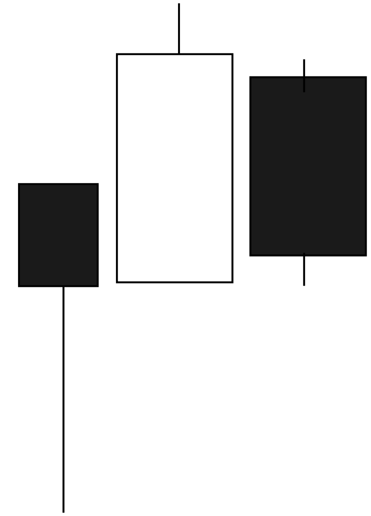
Price Action Trading



Price Action Trading



Price action Definition

What is Price Action

Price action vs Indicators

Identifying Trend Markets

Uptrend

Downtrend

Range

How Trade Forex with Price Action Trading Strategies

Pinbar

Inside Bar

False Break

How To Use Chart Confluence and Price Action Signals

Support

Resistance

What is Price Action Trading

is a trading style base solely on price chart movement. This means no lagging indicators or 'cloudy' 'messy' charts. Price action uses Dynamic Support and Resistance areas, Trend Momentum, Candlestick Signal and Confluent or Key Market Levels. Price action is the 'footprint' or trail of money from market participants and gives us a 'clue' onto who is in control over the next market move.

Why Price Action

All financial Markets generate data various periods of time that is displayed on price charts. Price reflects the sentiment of all market participants and portrayed in the form of "Price Action". All Economic data and other global news events that move markets are ultimately reflected by price movement so we no longer have to over analyze them to trade successfully. Trading with indicators will just increase our risk and decrease our reward ratio.

Price Action vs Indicators

example of clean price chart, no mess, easy to read and recognize chart patterns

Price Action vs Indicators

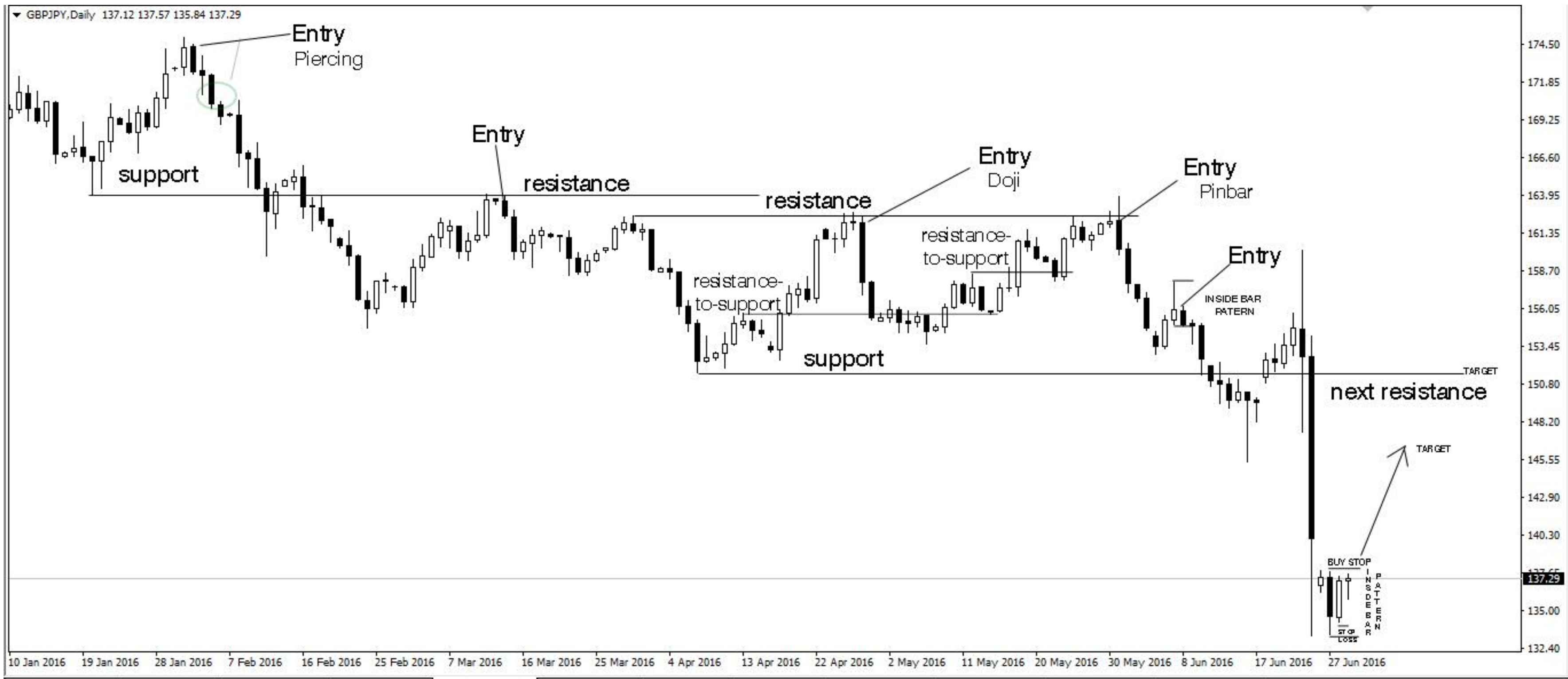
example of messy price chart with many indicators. very hard to read and trade

Price Action vs Indicators

Notice how late are our entries relying with just 2 indicators(Moving Averages)

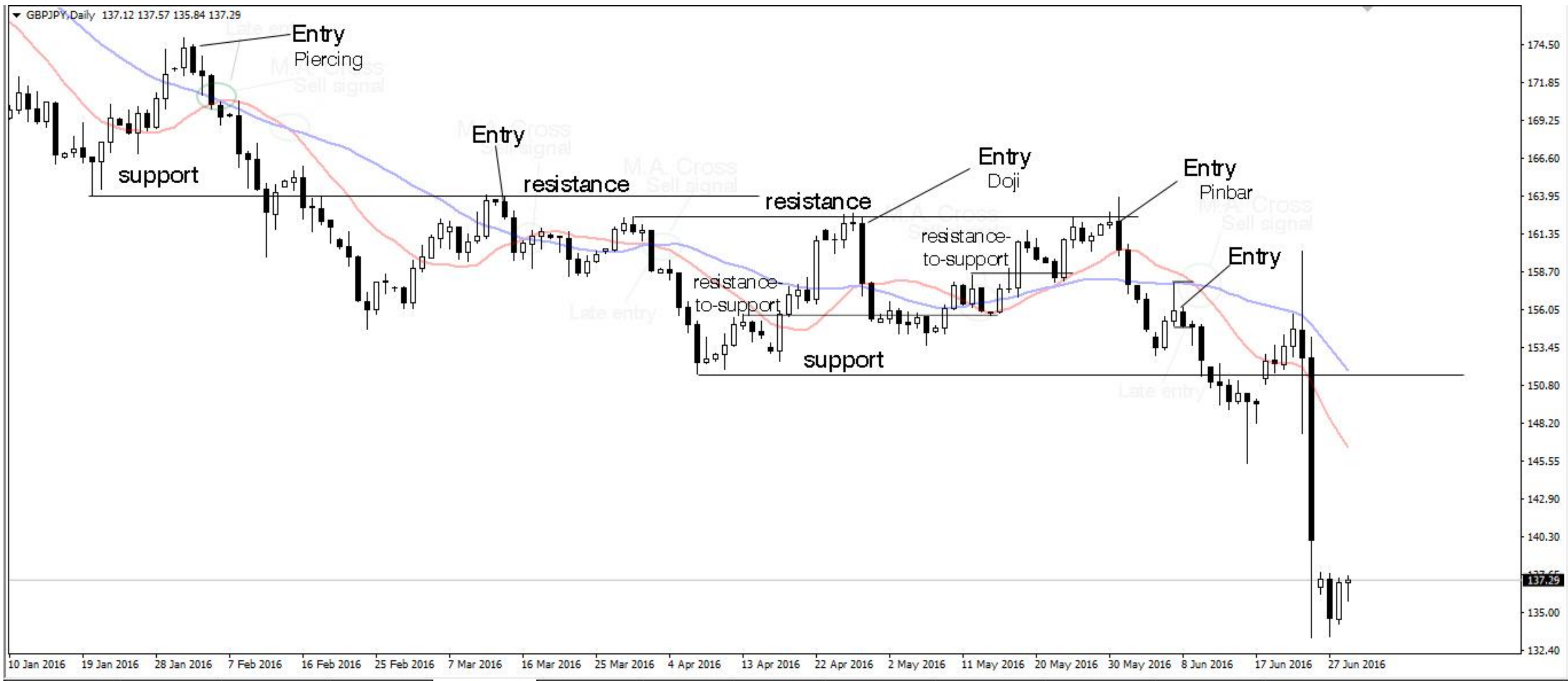
Price Action vs Indicators

Clean price action trading strategy. Early entries. easy to read and pulling the trigger to trade



Price Action vs Indicators

Notice how late are our entries relying with just 2 indicators.
Notice how early are our entries relying solely on price action.



IDENTIFYING TREND MARKETS

What is a Trend?

- A trend is simply the direction of the market, which way it is moving.
- Markets don't generally move in a straight line in any direction.
- Market moves are characterized by a series of zigzags. These zigzags resemble a series of successive waves with fairly obvious peaks and troughs.
- It is the direction of those peaks and troughs that constitutes market trend.

TREND DIRECTIONS

3 Directions of a Trend

Price Action Trading

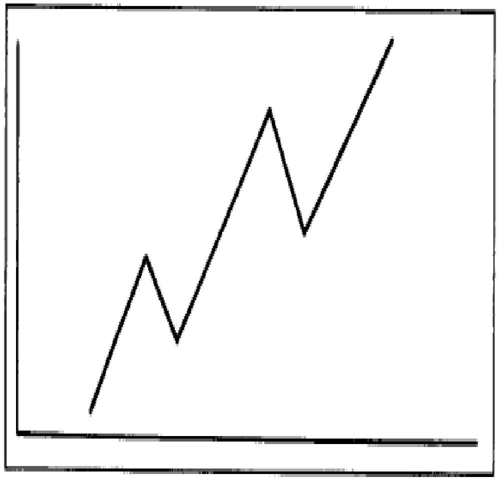


Figure 4.1a. Example of an uptrend with ascending peaks and troughs

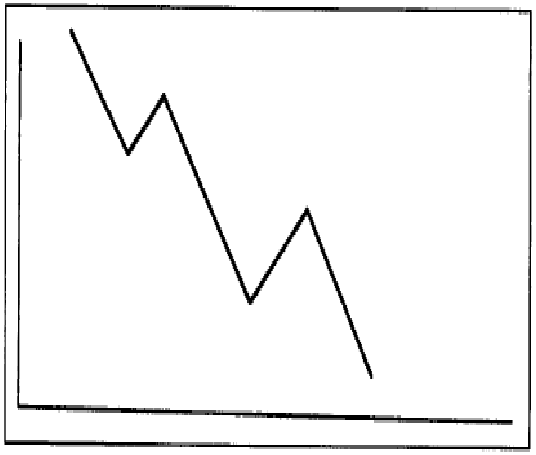


Figure 4.1b. Example of a downtrend
with descending peaks and troughs

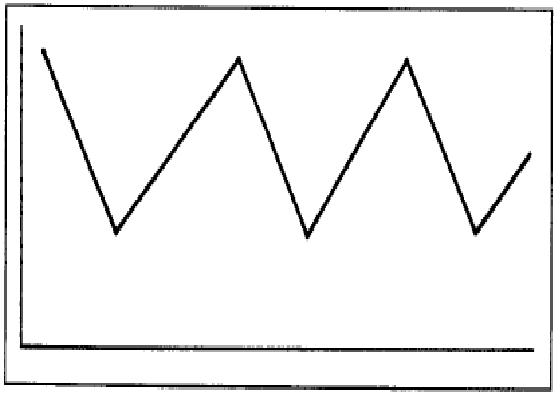
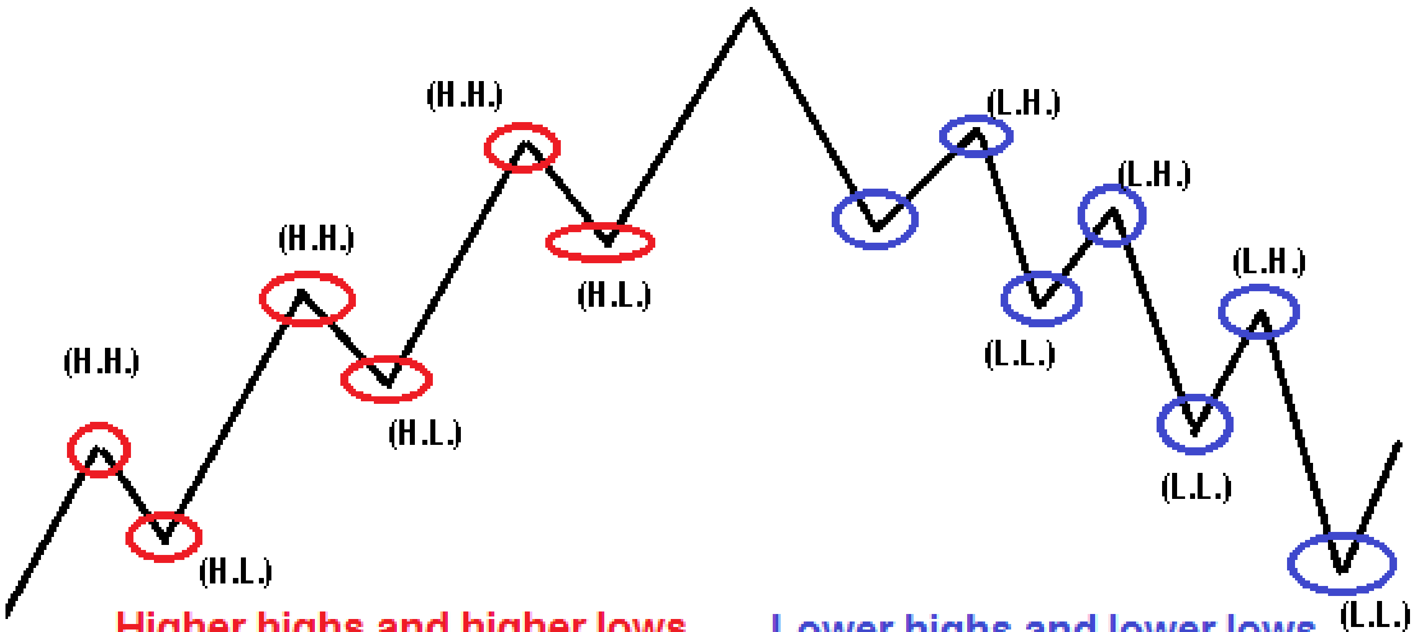


Figure 4.1b. Example of a sideways trend with horizontal peaks and troughs

Simple Way of Identifying Trending Markets

Identifying market trends based on the naturally occurring swing points in the market...



Higher highs and higher lows define an uptrending market

Lower highs and lower lows define a downtrending market

Why Trading with Trend is important?

- It is one of the important concepts of technical analysis.

- It is in this impulsive move of the market where traders generally make their profits.

- It is easy to trade with trend.

- One swing move of a trending market produces big pips.

Why Trading with Trend is important?

notice how many pips made when market is in impulsive move and only a few pips when it is correcting or retracing.

SUPPORT and RESISTANCE

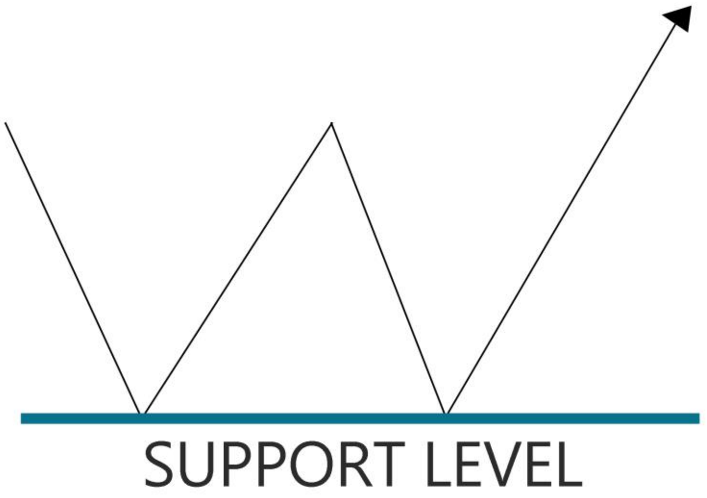
SUPPORT

✓ the troughs, or reaction lows, are called support;

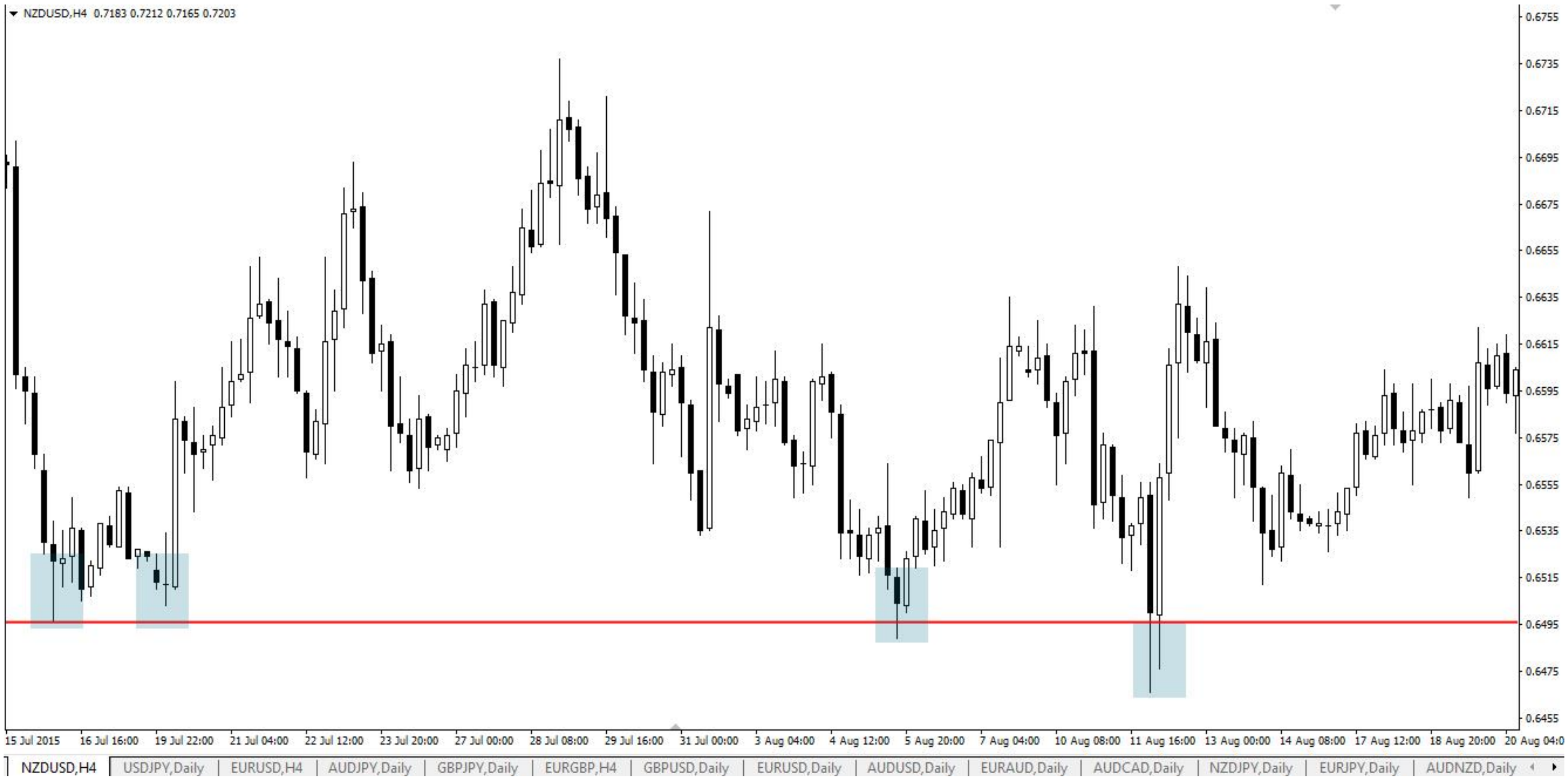
✓ a level or area on the chart under the market where buying interest is sufficiently strong to overcome selling pressure;

✓ as a result, a decline is halted and prices turn back up again;

✓ usually, a support level is identified beforehand by a previous reaction low




SUPPORT LEVEL = DEMAND


NZDUSD,H4 0.7183 0.7212 0.7165 0.7203
0.6755
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0.6715
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15 Jul 2015
16 Jul 16:00
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10 Aug 08:00
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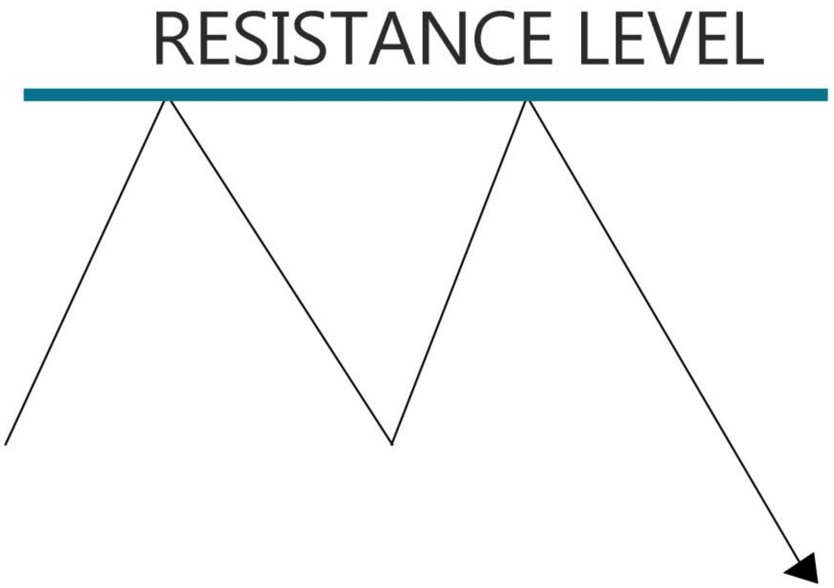
18 Aug 20:00
20 Aug 04:0
NZDUSD,H4
USDJPY,Daily
EURUSD,H4
AUDJPY,Daily
GBPJPY,Daily
EURGBP,H4
GBPUSD,Daily
EURUSD,Daily
AUDUSD,Daily
EURAUD,Daily
AUDCAD,Daily
NZDJPY,Daily
EURJPY,Daily
AUDNZD,Daily

RESISTANCE

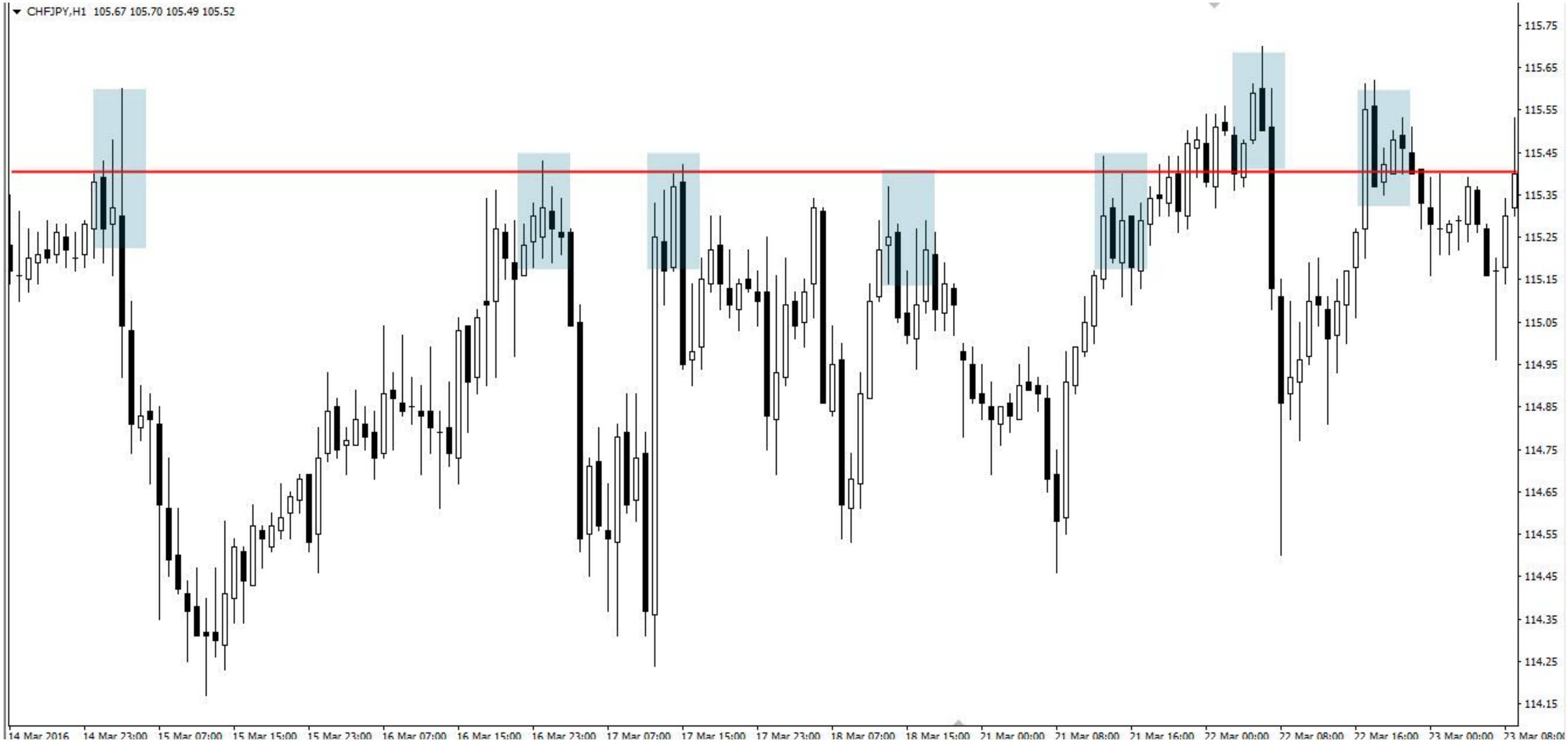
- ✓ is the opposite of support and represents a price level or area over the market where selling pressure overcomes buying pressure and a price advance is turned back;

- ✓ usually, a resistance level is identified by a previous peak




Resistance = Supply

Price Action Trading



SUPPORT and RESISTANCE

Previous Resistance becomes Support

can then be describe as UPTREND market

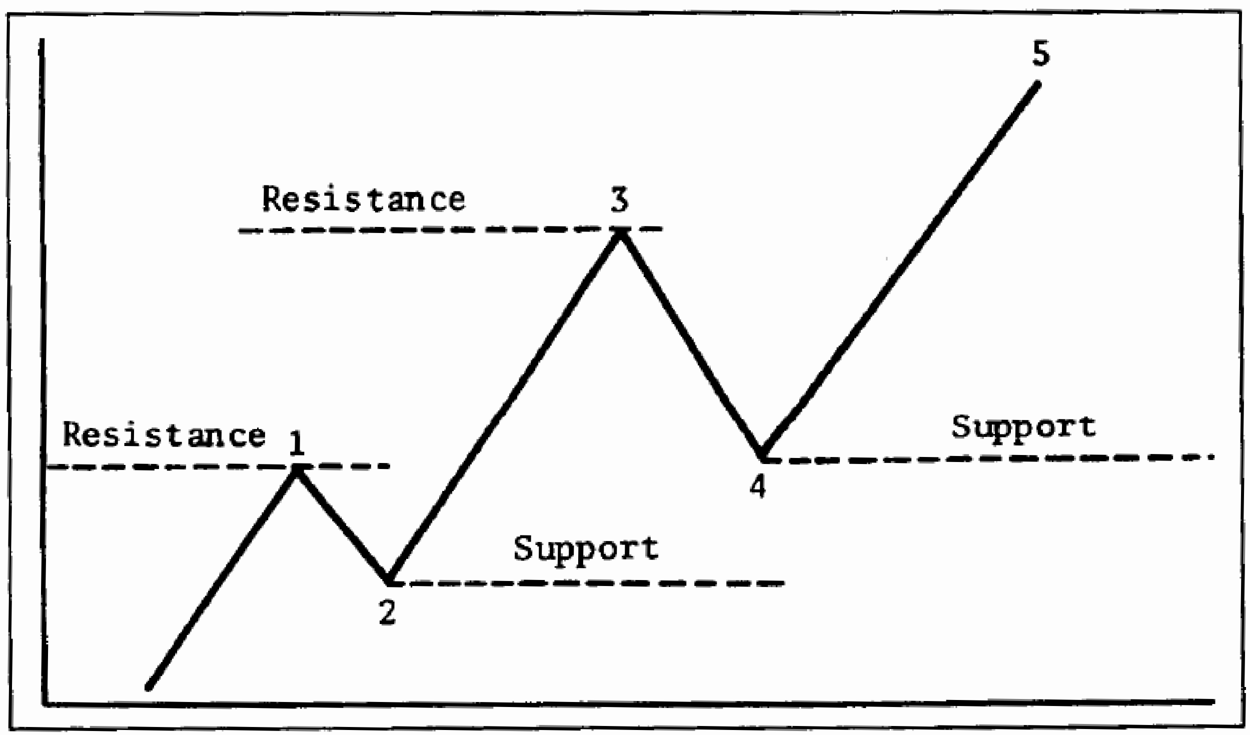
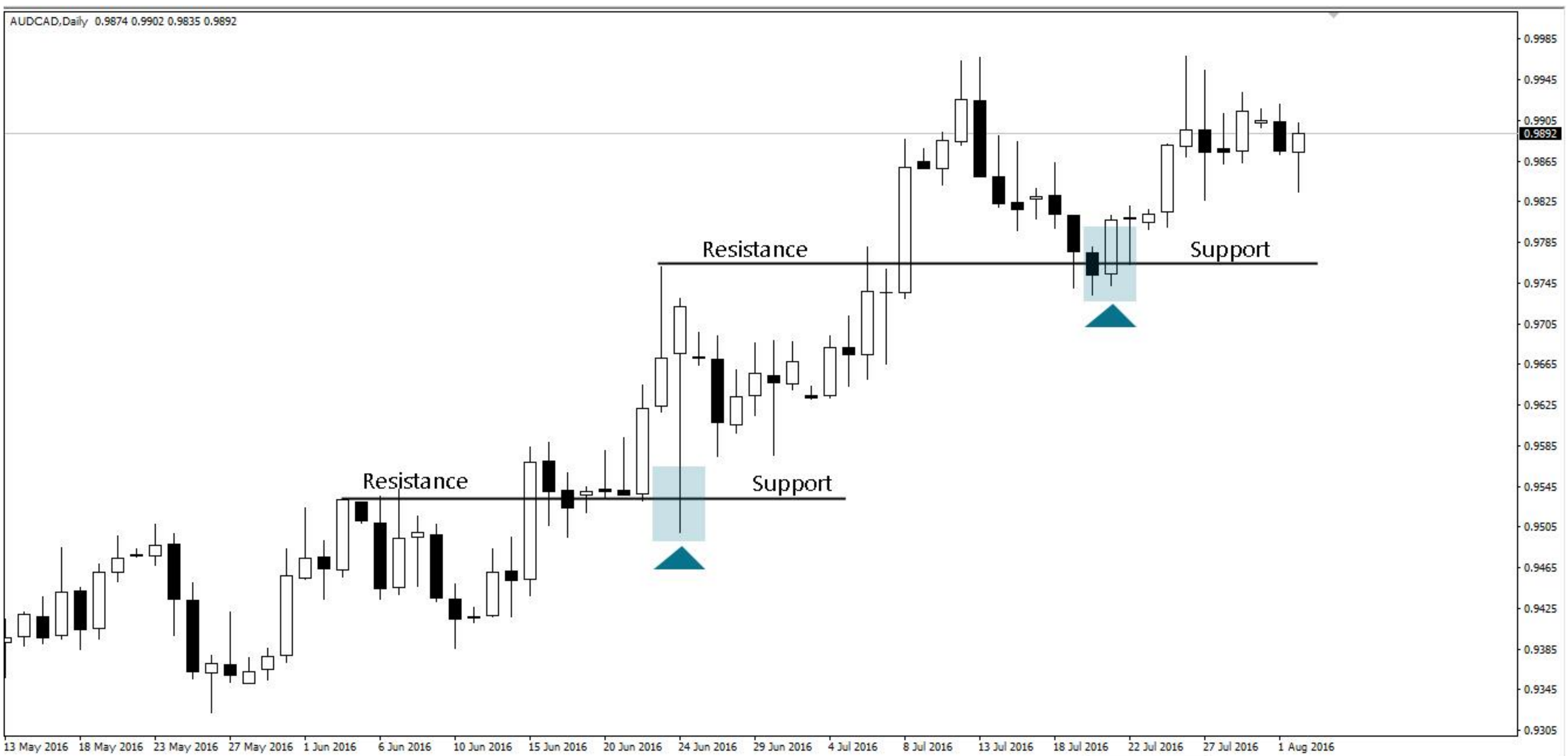


Figure 4.3a *Shows rising support and resistance levels in uptrend. Points 2 and 4 are support levels which are usually previous reaction lows. Points 1 and 3 are resistance levels, usually marked by previous peaks.*

Previous Resistance becomes Support

can then be describe as UPTREND market



Previous Support becomes Resistance

can then be describe as DOWNTREND market

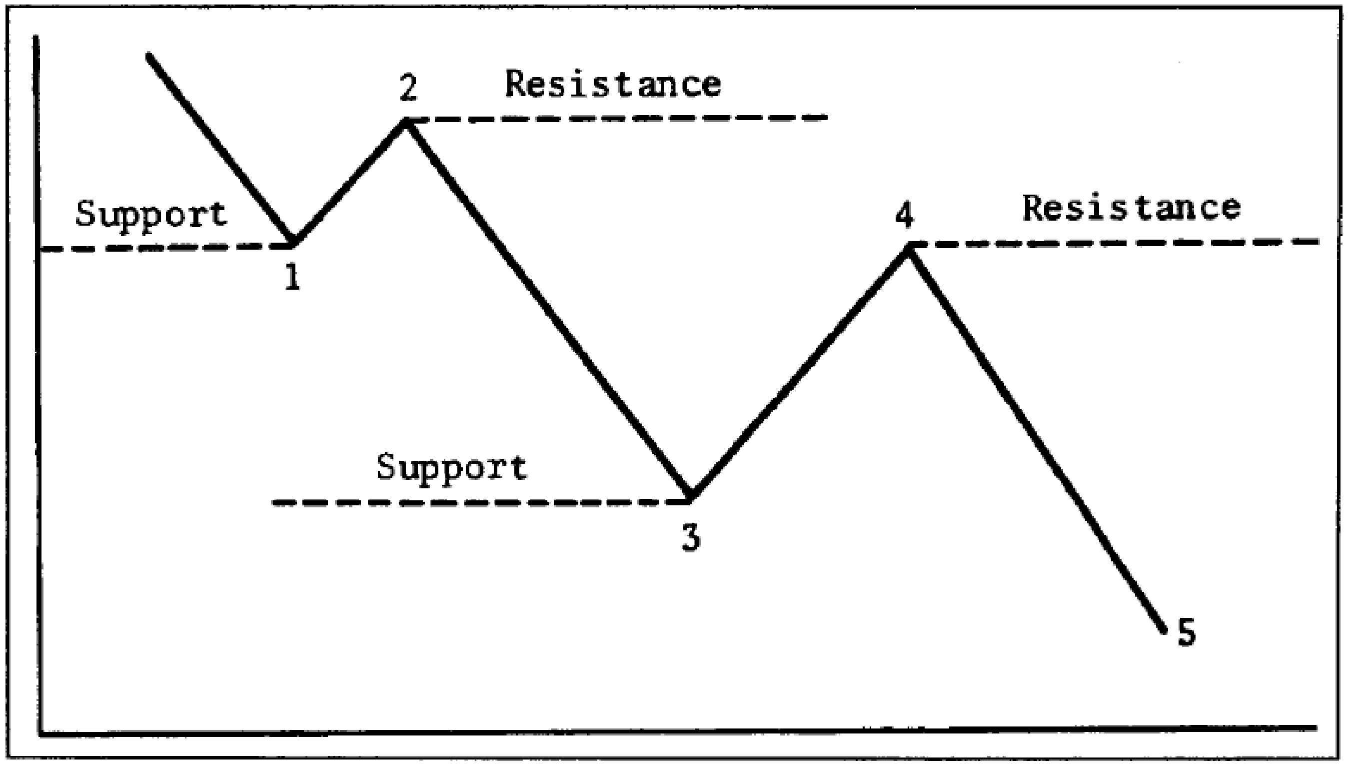
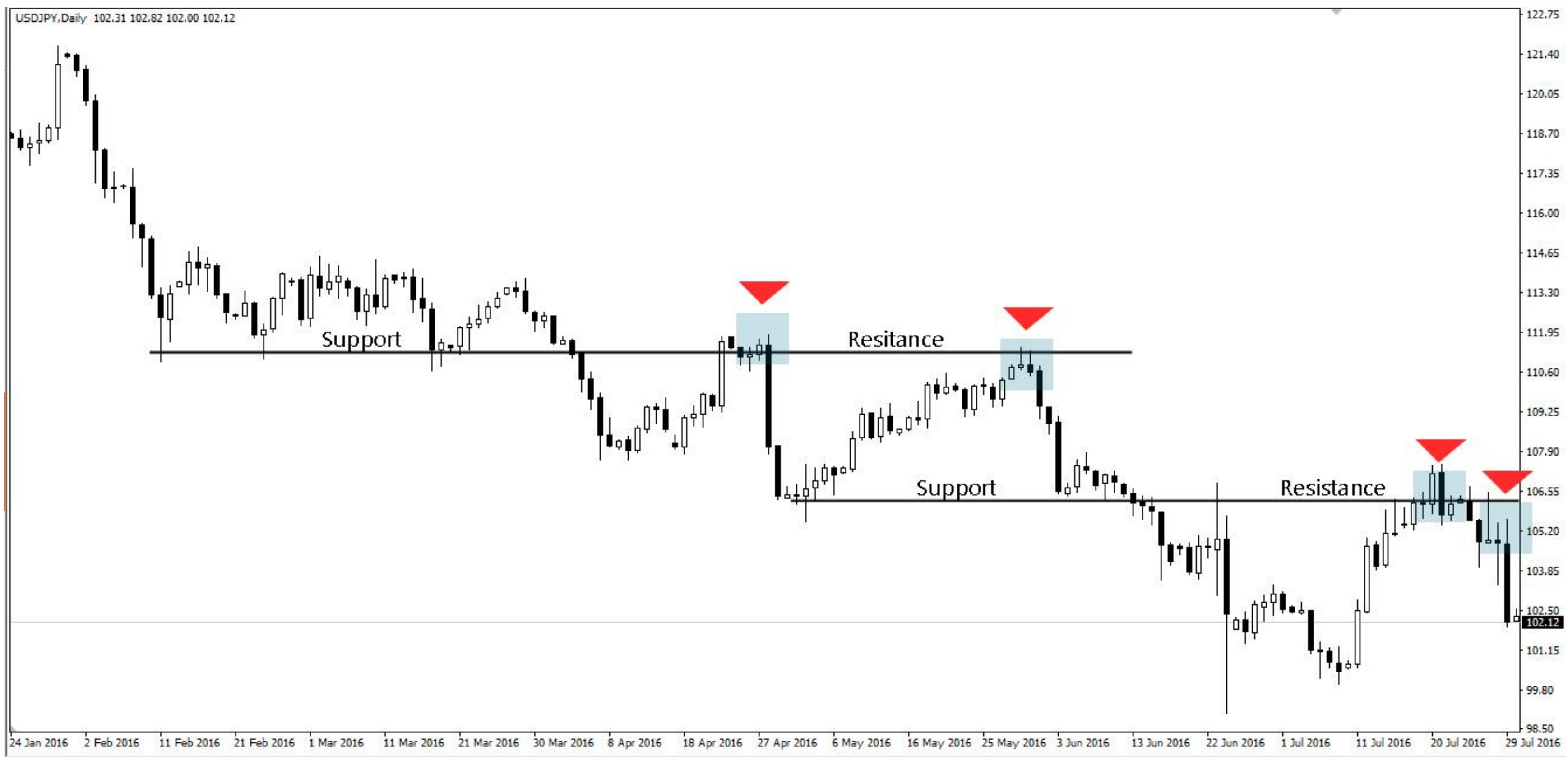


Figure 4.3b *Shows support and resistance in a downtrend.*

Previous Support becomes Resistance

can then be describe as DOWNTREND market



Characteristics of Trending Markets

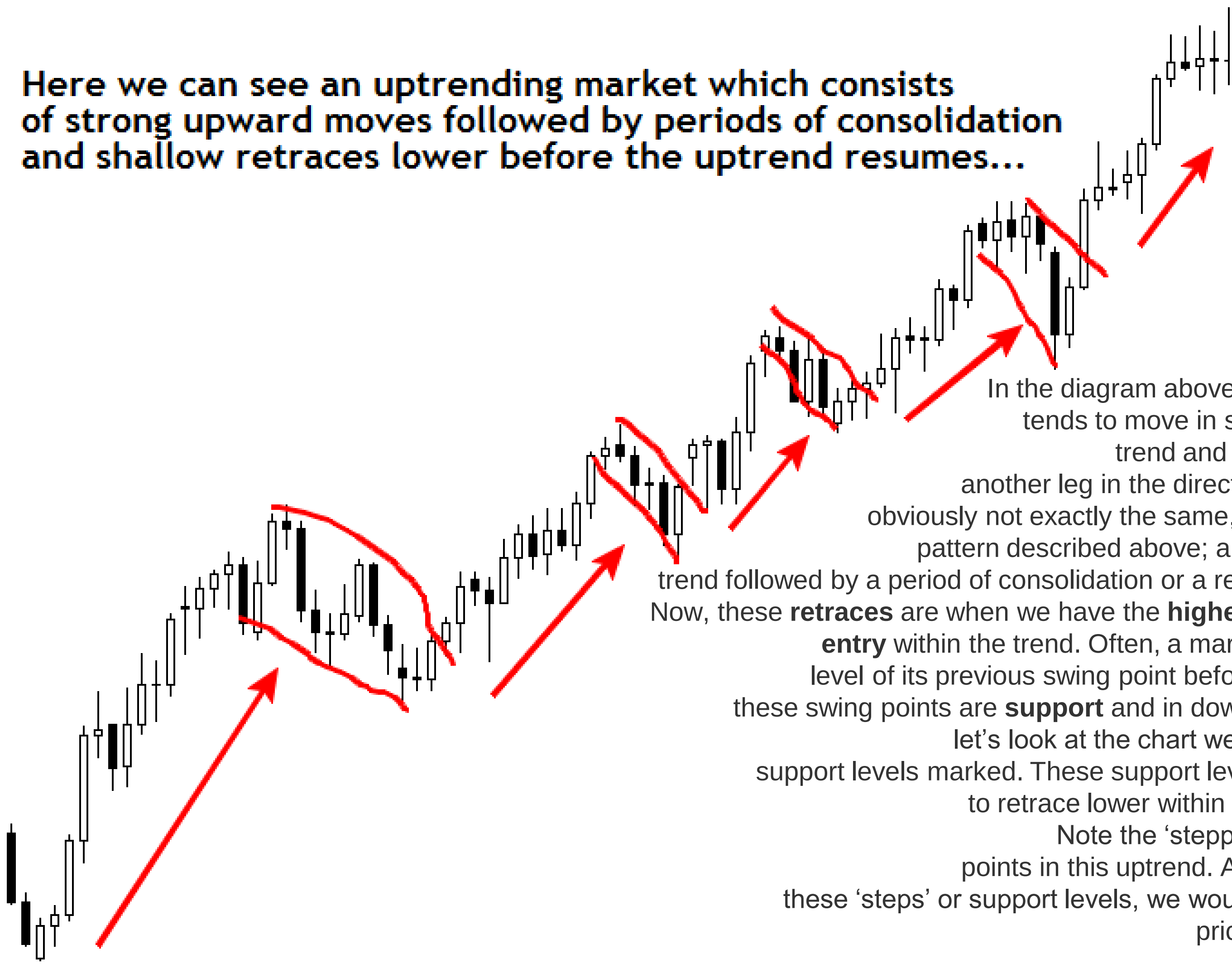
Trending markets tend to make strong moves in the direction of the trend followed by periods of consolidation or a counter-trend retrace before the next leg in the direction of the trend. You will notice this pattern happens in almost any trend you can find. Typically, what happens to many traders is that they will make some money during the periods of strong directional trend movement, but then they continue to trade as the market takes a breather from the trend and consolidates. It’s these periods when traders give up all of the gains they just made when the market was moving aggressively.

You need to learn to identify the different parts of a trend, this will help you avoid over-trading during the choppy /
consolidation periods and will give you a better chance at profiting when the trend makes a strong move.

Characteristics of Trending Markets

Price Action Trading

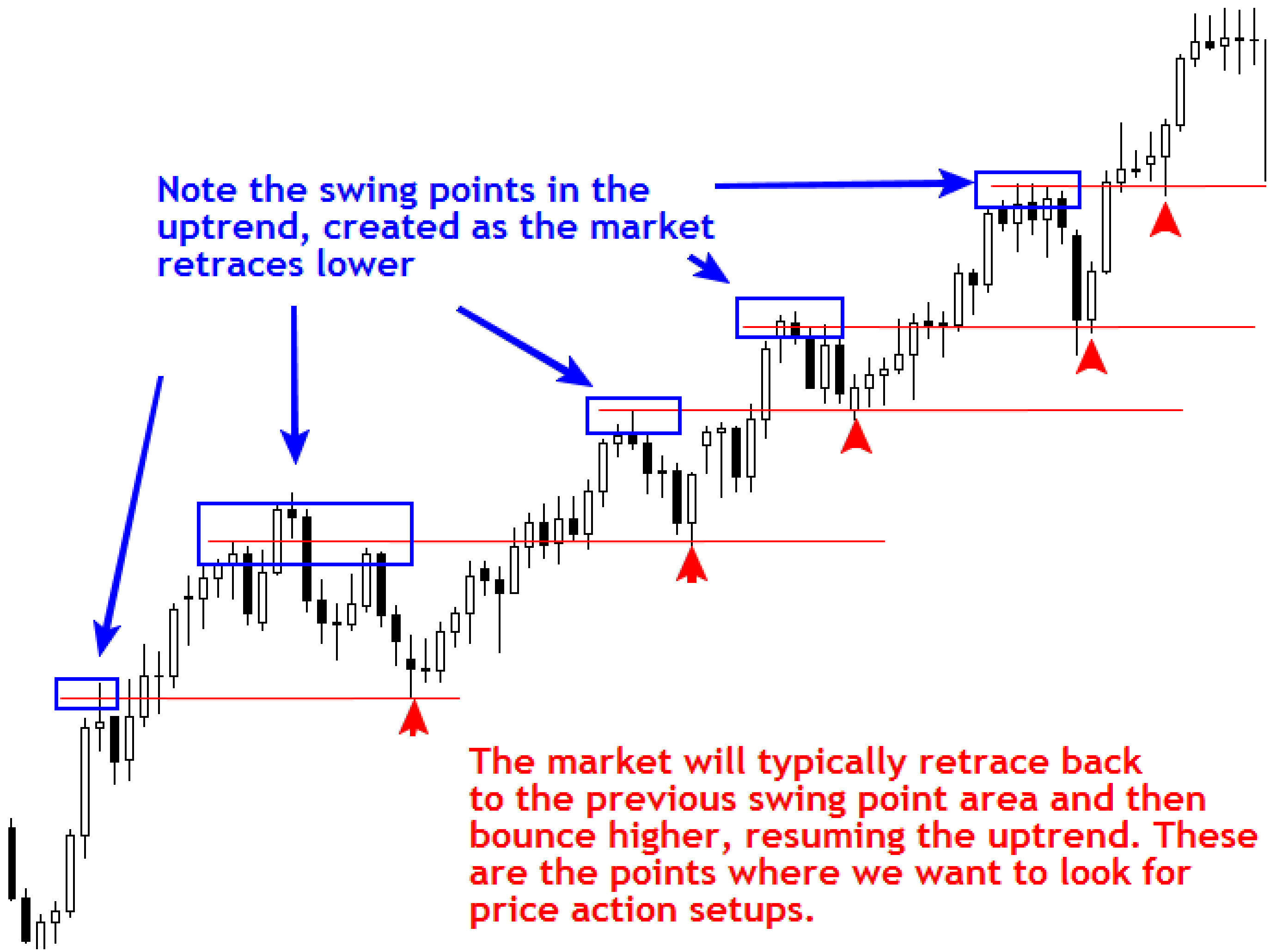
Here we can see an uptrending market which consists of strong upward moves followed by periods of consolidation and shallow retraces lower before the uptrend resumes…



In the diagram above, we can see that a trending market tends to move in spurts, moving in the direction of the trend and then stalling to take a breath before another leg in the direction of the trend. Now, all trends are obviously not exactly the same, but we do typically see the general pattern described above; a forceful move in the direction of the trend followed by a period of consolidation or a retracement in the opposite direction. Now, these **retraces** are when we have the **highest potential for a high probability entry** within the trend. Often, a market will retrace to approximately the level of its previous swing point before the trend resumes. In an uptrend these swing points are **support** and in downtrends they are **resistance**. Also, let's look at the chart we just looked at but this time with the support levels marked. These support levels resulted after the market began to retrace lower within the structureof the broader uptrend. Note the 'stepping' pattern left behind by the swing points in this uptrend. As the market retraces back down to these 'steps' or support levels, we would focus our attention and watch for price action signals forming near these levels to rejoin the uptrend:

Characteristics of Trending Markets

Price Action Trading



Characteristics of Trending Markets

Price Action Trading

Important Points on Support & Resistance:

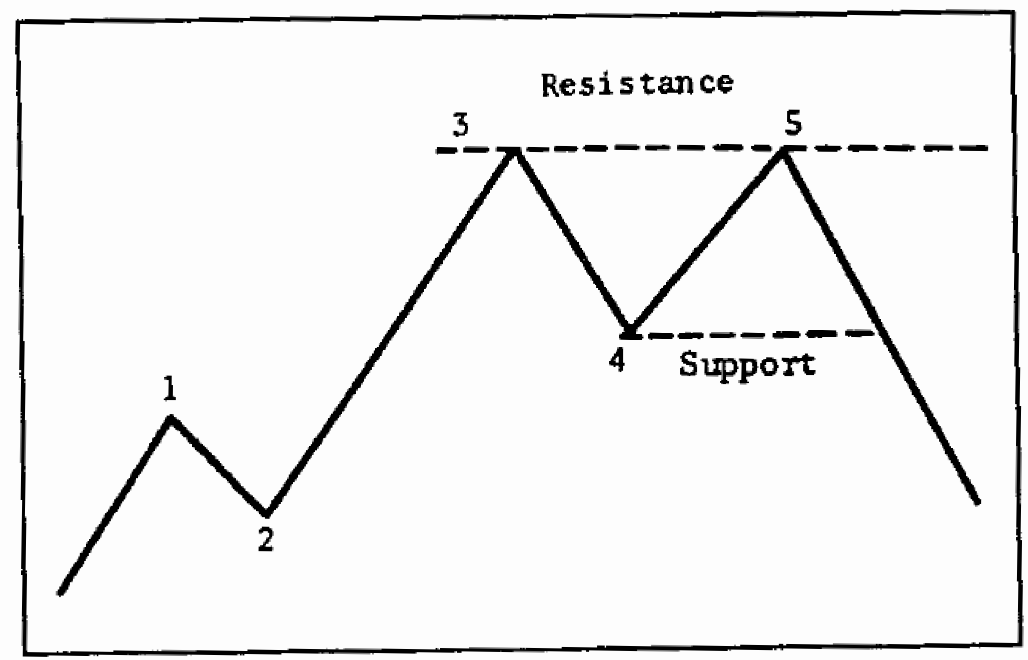


Figure 4.4a. Example of a trend reversal. The failure of prices at point 5 to exceed the previous peak at point 3 followed by a downside violation of the previous low at point 4 constitutes a downside trend reversal. This type of pattern is called a double top.

Source: Technical Analysis of the Financial Markets, 1999, by John J. Murphy

Important Points on Support & Resistance:

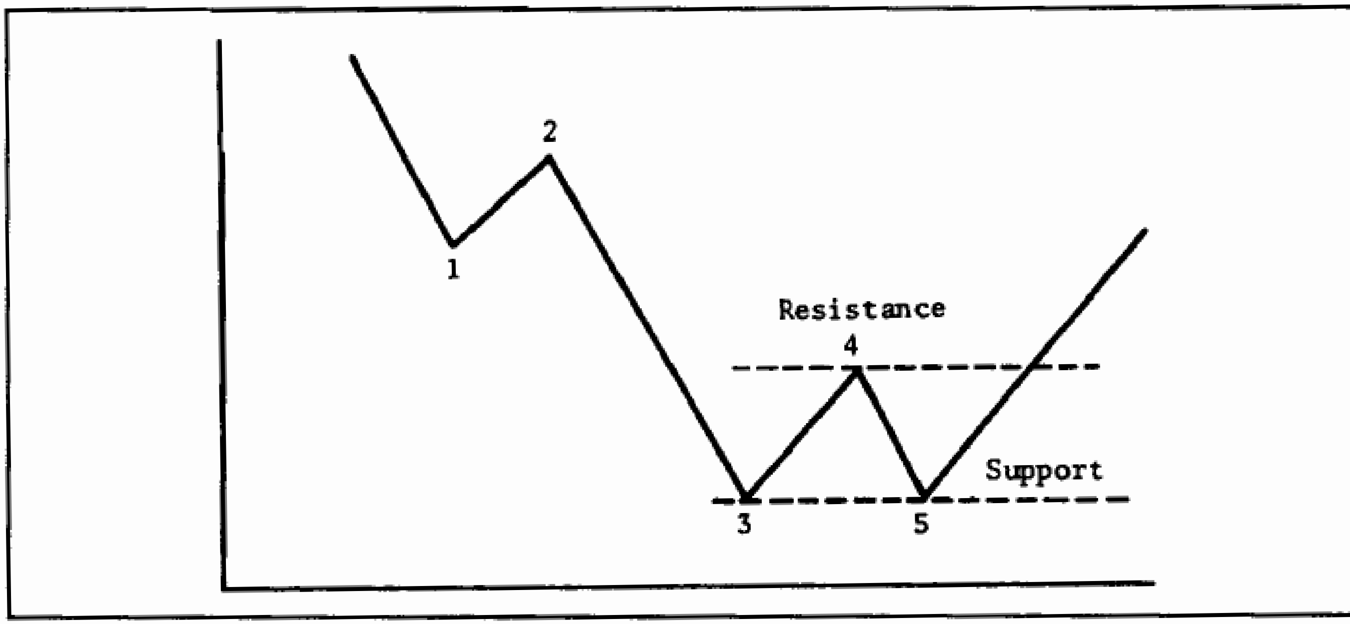


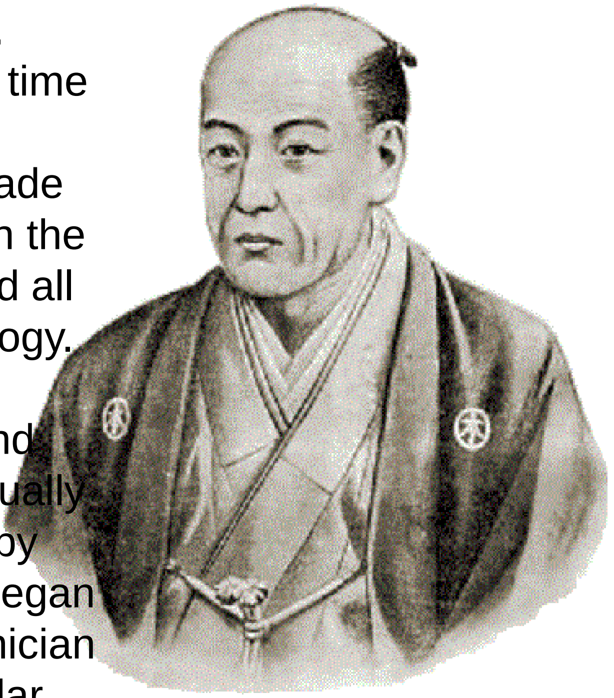
Figure 4.4b *Example of a bottom reversal pattern. Usually the first sign of a bottom is the ability of prices at point 5 to hold above the previous low at point 3. The bottom is confirmed when the peak at 4 is overcome.*

Source: Technical Analysis of the Financial Markets, 1999, by John J. Murphy

Japanese Candlestick

Brief History

▪ Candlestick charts originated in Japan during the 18th century. Since no defined currency standard existed in Japan during this time rice represented a medium of exchange. Various feudal lords deposited rice in warehouses in Osaka and would then sell or trade the coupon receipts, thus rice become the first futures market. In the 1700s legendary Japanese rice trader Homma Munehisa studied all aspects of rice trading from the fundamentals to market psychology.



▪Homma subsequently dominated the Japanese rice markets and built a huge fortune. His trading techniques and principles eventually evolved into the candlestick methodology which was then used by Japanese technical analysts when the Japanese stock market began in the 1870s. The method was picked up by famed market technician Charles Dow around 1900 and remains arguably the most popular form of technical analysis chart in use by today's traders of financial instruments.

Why use Candlestick Charts?

▪Candlestick charts show the same information as bar charts but in a graphical format that provides a more detailed and accurate representation of price action.

▪Candlestick charts visually display the supply and demand situation by showing who is winning the battle between the bulls and the bears

▪Candlestick charts reveal another dimension of the given period's price action by pictorially displaying the force (or lack of force) behind each price bar's movement..

▪Candlestick formations make all single bar and multi-bar patterns significantly easier to spot in real time, thus increasing your chances of catching high probability trade setups. In addition, because candlestick charts use the same data as bar charts (open, high, low, and close), all Western technical signals used on a bar chart can easily be applied to a candlestick chart.

▪Candlestick charts offer everything bar charts do and more, using them is a win-win situation because you can use all the trading signals normally used on bar charts with the added clarity and additional signals generated by candlesticks.

▪Candlesticks charts are more fun to look at.

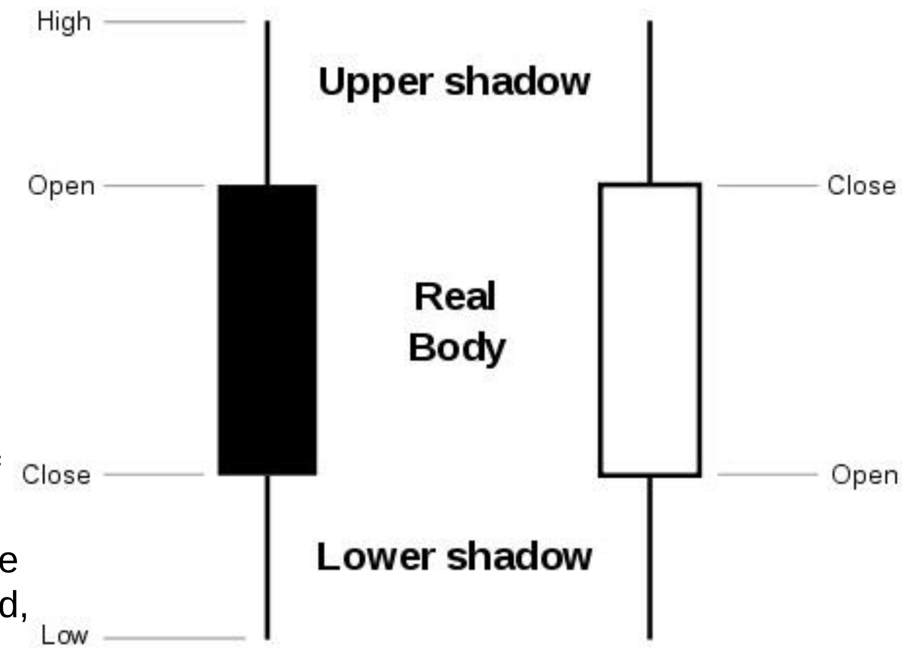
Anatomy of a Candlestick

▪Candlesticks have a central portion that displays the price distance between the open and the close. This area is known as the real body or simply the body.

▪The price distance between the open and the high for the period being analyzed is called the upper shadow, sometimes referred to as an “upper wick” as well. The highest price paid for a particular period is the marked by the high of the upper shadow.

▪The price distance between the close and the low for the period being analyzed is called the lower shadow, sometimes referred to as a “lower wick”.

▪The real body displays the opening and closing price of the security being traded. Closing prices have added significance because they determine the conviction of the bulls or bears. If the security closed higher than it opened, the real body is white or unfilled, with the opening price at the bottom of the real body and the closing price at the top. If the security closed lower than it opened, the real body is black, with the opening price at the top and the closing price at the bottom. Depending on the price action for the period being analyzed a candlestick might not have a body or a wick.



Core Candlestick Patterns

There are multiple forms of candlestick patterns; here is a brief overview of the most popular and widely used single and multi-bar patterns commonly used today.

Bullish Candle

▪Signals uptrend movement, they occur in different lengths; the longer the body, the more significant the price increase

Core Candlestick Patterns

There are multiple forms of candlestick patterns; here is a brief overview of the most popular and widely used single and multi-bar patterns commonly used today.

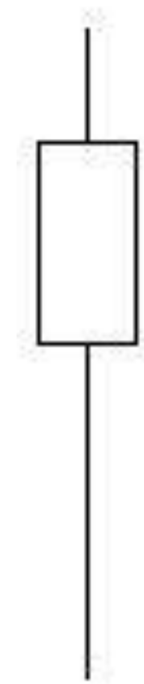
Bearish Candle

- Signals downtrend movement, they occur in different lengths; the longer the body, the more significant the price decrease.

Core Candlestick Patterns

Long Lower Shadow

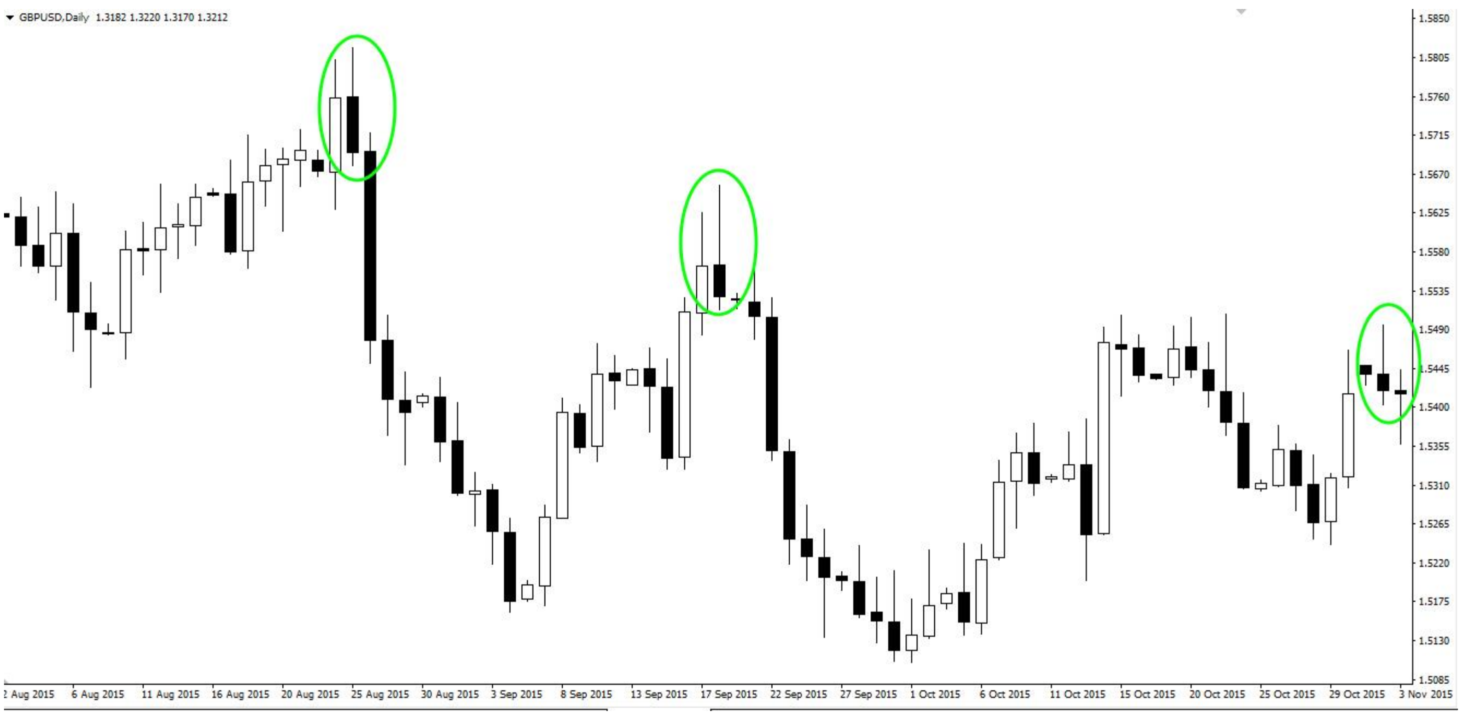
- These candles provide a bullish signal, the lower shadow must be at least the size of the real body; the longer the lower shadow the more reliable the signal.



Core Candlestick Patterns

Long Upper Shadow

▪These candles provide a bearish signal, the upper shadow must be at least the size of the real body; the longer the upper shadow the more reliable the signal.



Core Candlestick Patterns

Hammer

▪is a bullish signal that occurs during a downtrend. The lower shadow should be at least twice the length of the real-body. Hammers have little or no upper shadow.

Core Candlestick Patterns

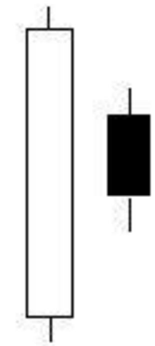
Shooting Star

▪This candle has a long upper shadow with little, or no lower shadow, and a small real body near the lows of the session that develops during or after and uptrend.

Core Candlestick Patterns

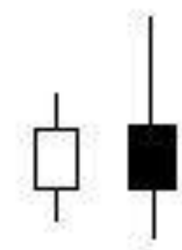
Harami

▪The Harami is a two-candlestick pattern in which a small real body forms within the prior session's larger real body.



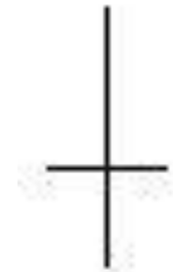
Spinning tops

▪Spinning tops are simply candles with small real bodies.



Core Candlestick Patterns

Doji



- The Doji is a candlestick in which the session’s open and close are the same, or almost the same. There are a few different varieties of Dojis, depending on where the opening and closing are in relation to the bar’s range.

Dragonfly doji

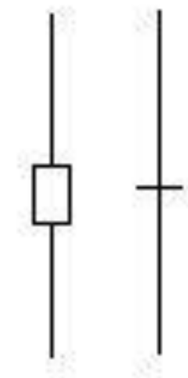
- The Dragonfly Doji has a long lower shadow, the open, high, and close are at or very near the session’s high. This pattern often signals reversal of downtrend.

Gravesone doji

- The Gravestone Doji has a long upper shadow, the open, low, and close are at or very near the session’s low. This pattern often signals reversal of an uptrend.

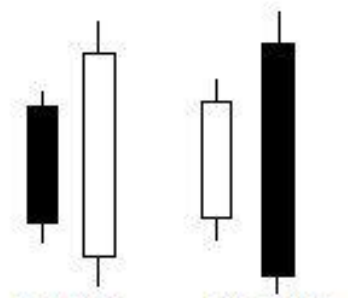
Core Candlestick Patterns

High wave candle / long-legged doji



▪This candle has a very long upper or lower shadow and a small real body. If the opening and closing price are the same the candle has no real body and is then called a Long-Legged Doji. The first picture is a high wave candle the second is a Long-Legged Doji.

Engulfing candles



▪The bullish engulfing pattern consists of large white real body that engulfs a small black real body in a downtrend. The bearish engulfing pattern occurs when the bears overwhelm the bulls and is reflected by a long black real body engulfing a small white real body in an uptrend.

How Candlestick Patterns work in our Strategy

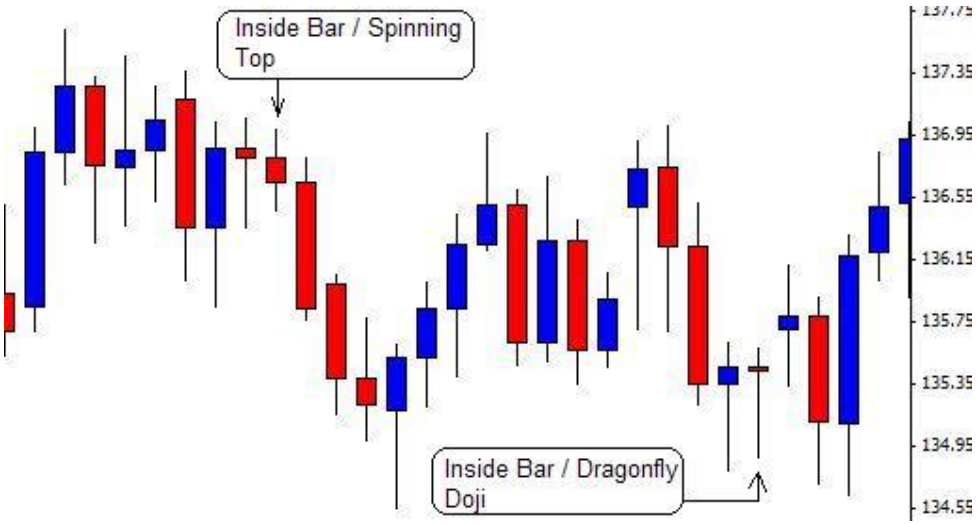
Pinbar

- The pin bar can include the following previously described candlestick patterns; long lower shadow candles and long upper shadow candles, hammers and shooting stars, dragonfly and gravestone dojis.

How Candlestick Patterns work in our Strategy

Inside Bars

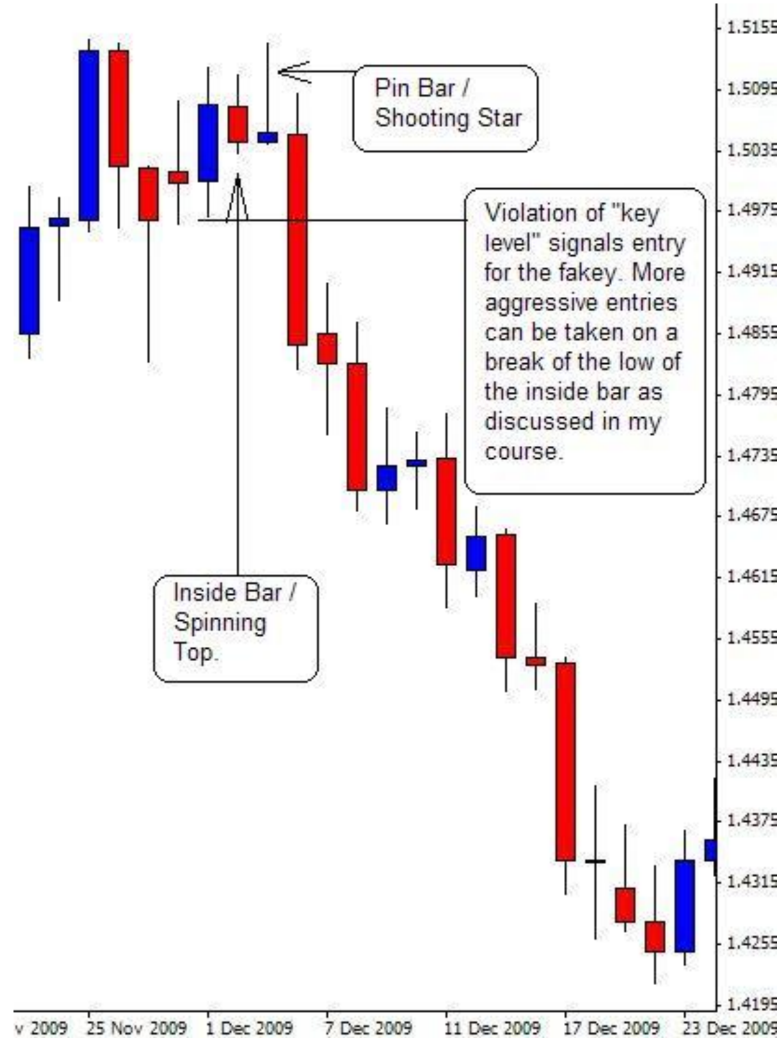
▪can technically encompass any candlestick pattern because they are simply a series of at least two candlesticks where the first candlestick completely engulfs the entire range of the subsequent candlestick, however, more often than not inside bars end up being spinning tops or dojis. Note, the inside bar is different from the “engulfing pattern” because it includes the entire range of the bar, from high to low, where as the engulfing pattern only includes engulfment of the real body of the candle. I generally trade inside bars in the context of a strongly trending market as they are often great entry points into trends. However, often times inside bars will occur at major market turning points as well as the previous trend loses momentum, pauses and forms an inside bar, and then changes direction.



How Candlestick Patterns work in our Strategy

Fakey

▪My fakey setup is essentially a multi-bar pattern that consists of a false break from an inside bar pattern or a key level. The fakey can consist of a number of different candlestick patterns. Often times the fakey setup will consist of a bullish or bearish engulfing pattern which is completely engulfing the range of a spinning top or doji candle which gives rise to a false break bar that can take the form of any of the candlesticks above that qualify as pin bars.



How Candlestick Patterns work in our Strategy

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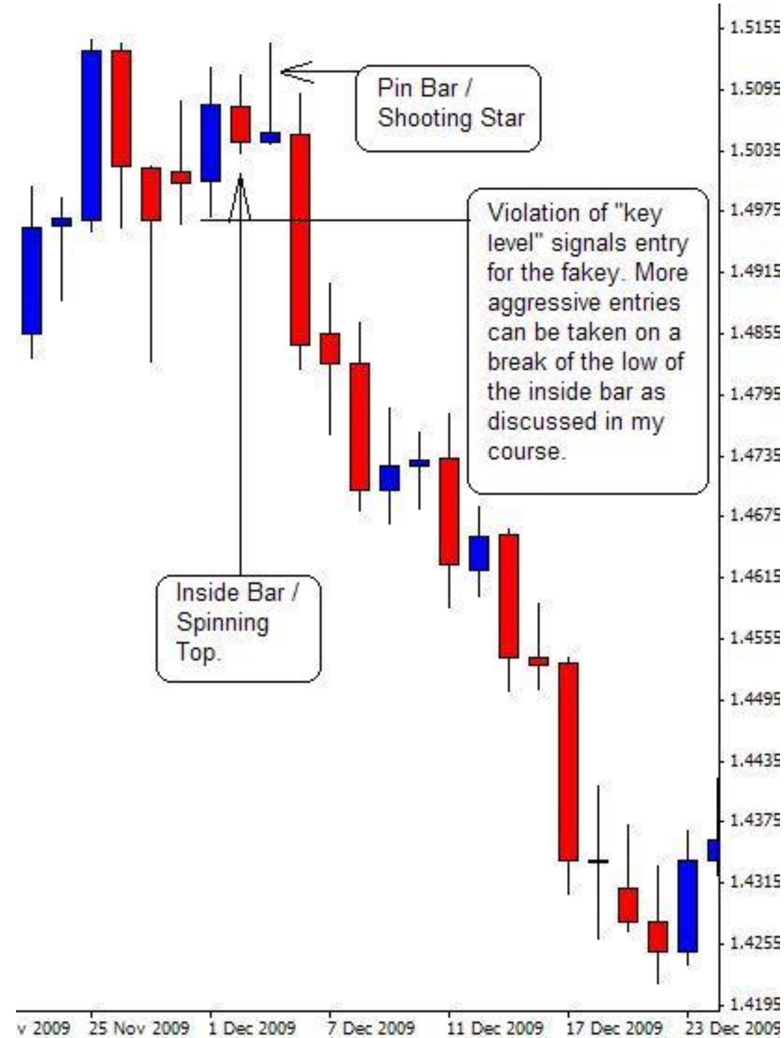
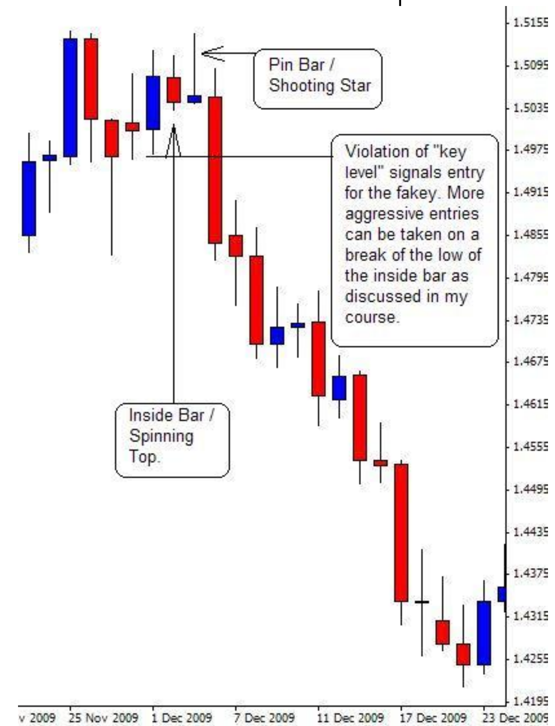
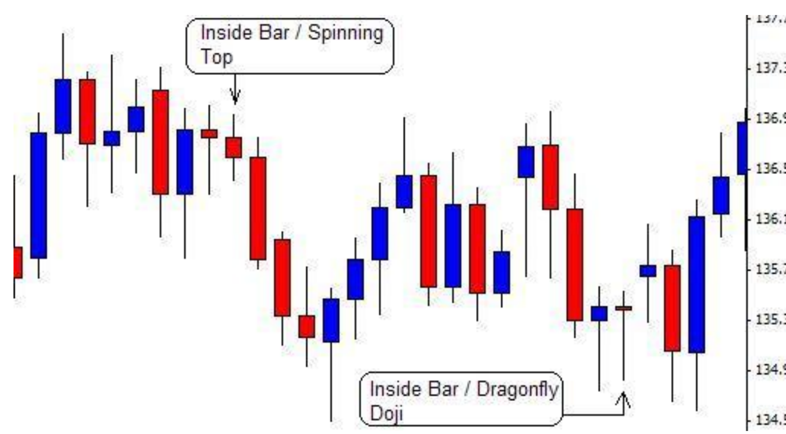


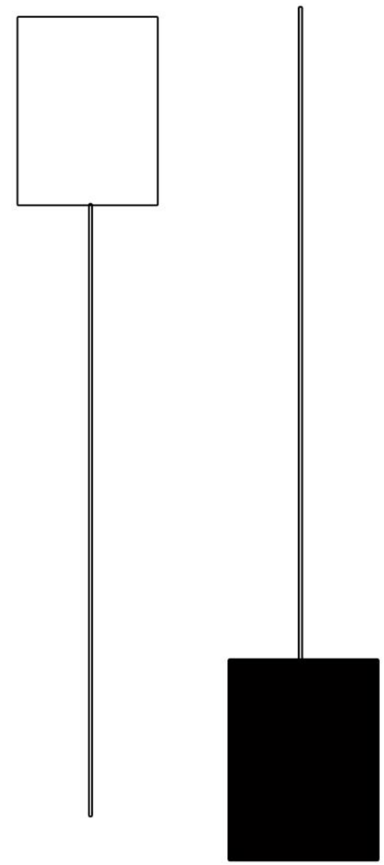
In conclusion

Candlestick charts offer a more vivid depiction of price action than what a standard bar chart can provide. Candlestick patterns in and of themselves are useful, however there are many different names and interpretations of candlestick patterns which often can induce confusion and can be hard to keep track of. You will find that my price action educational material condenses all of the important candlestick patterns into 3 simple yet highly effective price action setups.





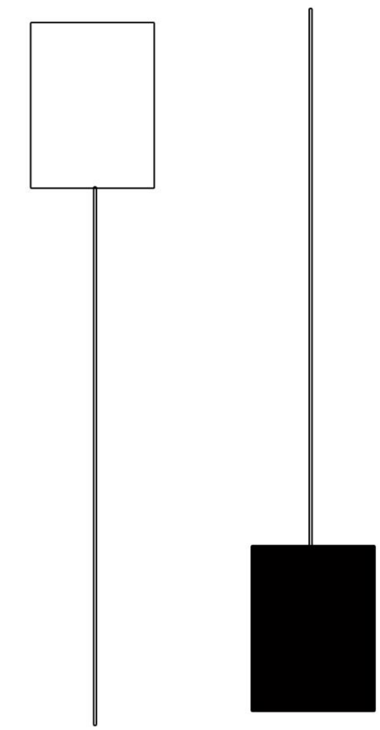
Pinbar Candlestick Strategy



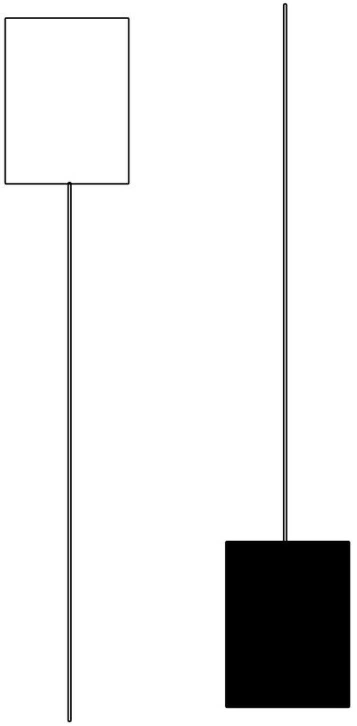
An Introduction To The Pin Bar Forex Trading Strategy and How to Trade It Effectively…

- The pin bar formation is a price action reversal pattern that shows that a certain level or price point in the market was rejected.

- The actual pin bar itself is a bar with a long upper or lower “tail”, “wick” or“shadow” and a much smaller “body” or “real body”, you can find pin bars on any stripped-down, “naked” bar chart or candlestick chart.



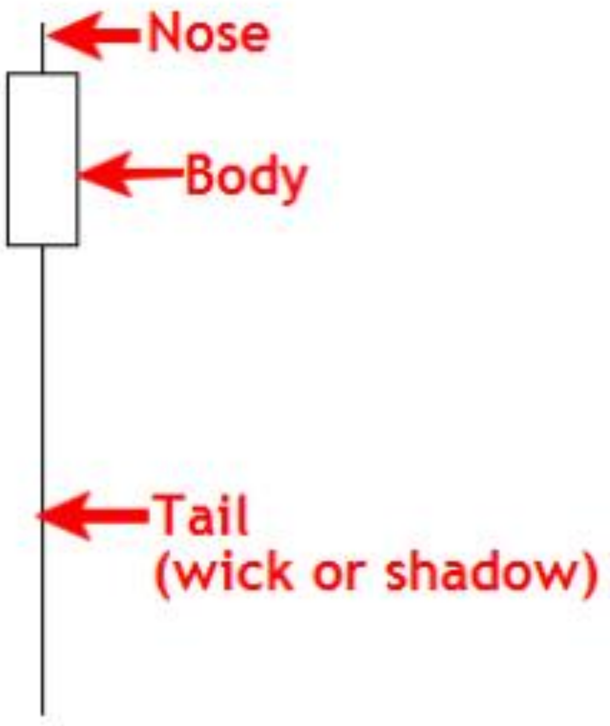
Characteristics of a Pin Bar



- The pin bar should have a long upper or lower tail…the tail is also sometimes called the “wick” or the “shadow”…they all mean the same thing. It’s the “pointy” part of the pin bar that literally looks like a “tail” and that shows rejection or false break of a level .
- The area between the open and close of the pin bar is called the “body” or “real body”. It is typically colored white or another light color when the close was higher than the open and black or another dark color when the close was lower than the open.
- The open and close of the pin bar should be very close together or equal (same price), the closer the better.
- The shadow or tail of the pin bar sticks out (protrudes) from the surrounding price bars, the longer the tail of the pin bar the better.
- A general “rule of thumb” is that you want to see the pin bar tail be two/thirds the total pin bar length or more and the rest of the pin bar should be one/third the total pin bar length or less.
- The end opposite the tail is sometimes referred to as the “nose”.

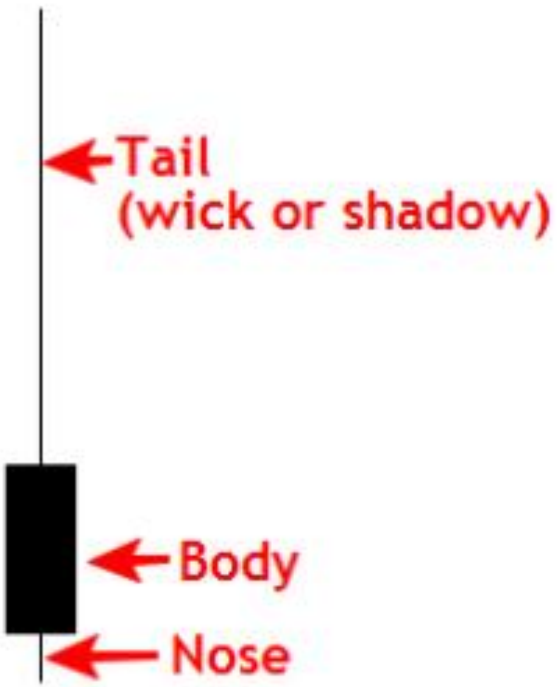
Anatomy of a Bullish Pin Bar

- In a bullish pin bar reversal setup, the pin bar's tail points down because it shows rejection of lower prices or a level of support. This setup very often leads to a rise in price.



Anatomy of a Bearish Pin Bar

- In a bearish pin bar reversal setup, the pin bar's tail points up because it shows rejection of higher prices or a level of resistance. This setup very often leads to a drop in price.



Example of Pinbar Formation in Action

- Here is a daily chart of CAD/JPY, we can see numerous pin bar formations that were very well defined and worked out very nicely. Note how all the pin bar's tails clearly protruded from the surrounding price action, showing a defined "rejection" of lower prices. All of the pin bars below have something in common that we just discussed, can you guess what it is?

Example of Pinbar Formation in Action

▪Here is an example of a trending market that formed numerous profitable pin bar setups. The following daily chart of GBP/JPY shows that pin bars taken with the dominant trend can be very accurate. Note the two pin bars on the far left of the chart that marked the start of the uptrend and then as the trend progressed we had numerous highprobability opportunities to buy into it from the bullish pin bars shown below that were in-line with the uptrend

Example of Pinbar Formation in Action

Key things to note....

To effectively trade the pin bar formation you need to first make sure it is well-defined. Try to only take take pin bars that are displaying confluence with another factor. Generally, pin bars taken with the dominant daily chart trend are the most accurate. However, there are many profitable pin bars that often occur in range-bound markets or at major market turning points as well. Examples of “factors of confluence” include but are not limited to: **trends, strong support and resistance levels and Fibonacci 50% retracement levels.**

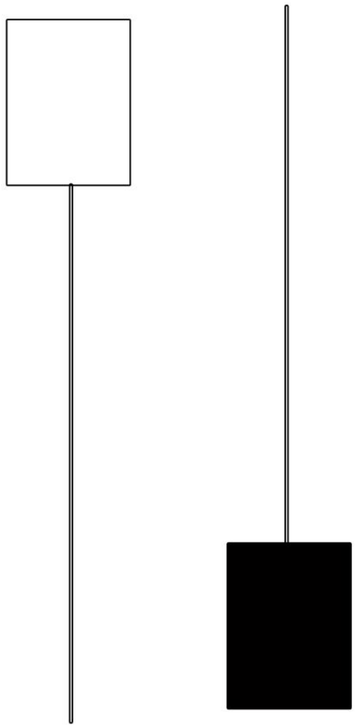
Pin Bar 50% limit entry

In the chart example below, we can see a bearish pin bar sell signal that formed at a key level of resistance in the EURUSD. This was a good pin bar because it's tail was clearly protruding up through the key resistance and from the surrounding price action, indicating that a strong rejection as well as false-break of an important resistance had taken place. Thus, there was a high probability of a move lower after that pin bar. Note the 50% limit sell entry that presented itself as the next bar retraced to about 50% of the pin bar's length before the market fell significantly lower…

In Conclusion

The pin bar formation is a very valuable tool in your arsenal of Forex price action trading strategies. The best pin bar strategies occur with a confluence of signals such as support and resistance levels, dominant trend confirmation, or other ‘confirming’ factors. Look for well formed pin bar setups that meet all the characteristics listed in this tutorial and don’t take any that you don’t feel particularly confident about.

Pin bars work on all time frames but are especially powerful on the 1 hour, 4hour and daily chart time frames. It is possible to make consistent profits by only trading the pin bar formation. Upon adding this powerful setup as one of your main Forex trading strategies, you will wonder how you ever traded without it.



How To Use Chart Confluence And Price Action Signal

What is Confluence

- A point in the market where two or more levels intersect each other, thus forming a ‘hot point’ or confluent point in the market.

In the dictionary, confluence means ‘a coming together of people or things; concourse’ (the picture to the right showing two rivers coming together). So, basically, when we look for confluent areas in the market we are looking for areas where two or more levels or analysis tools are intersecting.

What are the factors of concfluence to look for in a chart

- An uptrend or a down trend; essentially a “trend” is one factor of confluence in and of itself.

- Static (horizontal) support and resistance levels. These are the “classic” horizontal support and resistance levels that typically connect highs to highs or lows to lows.

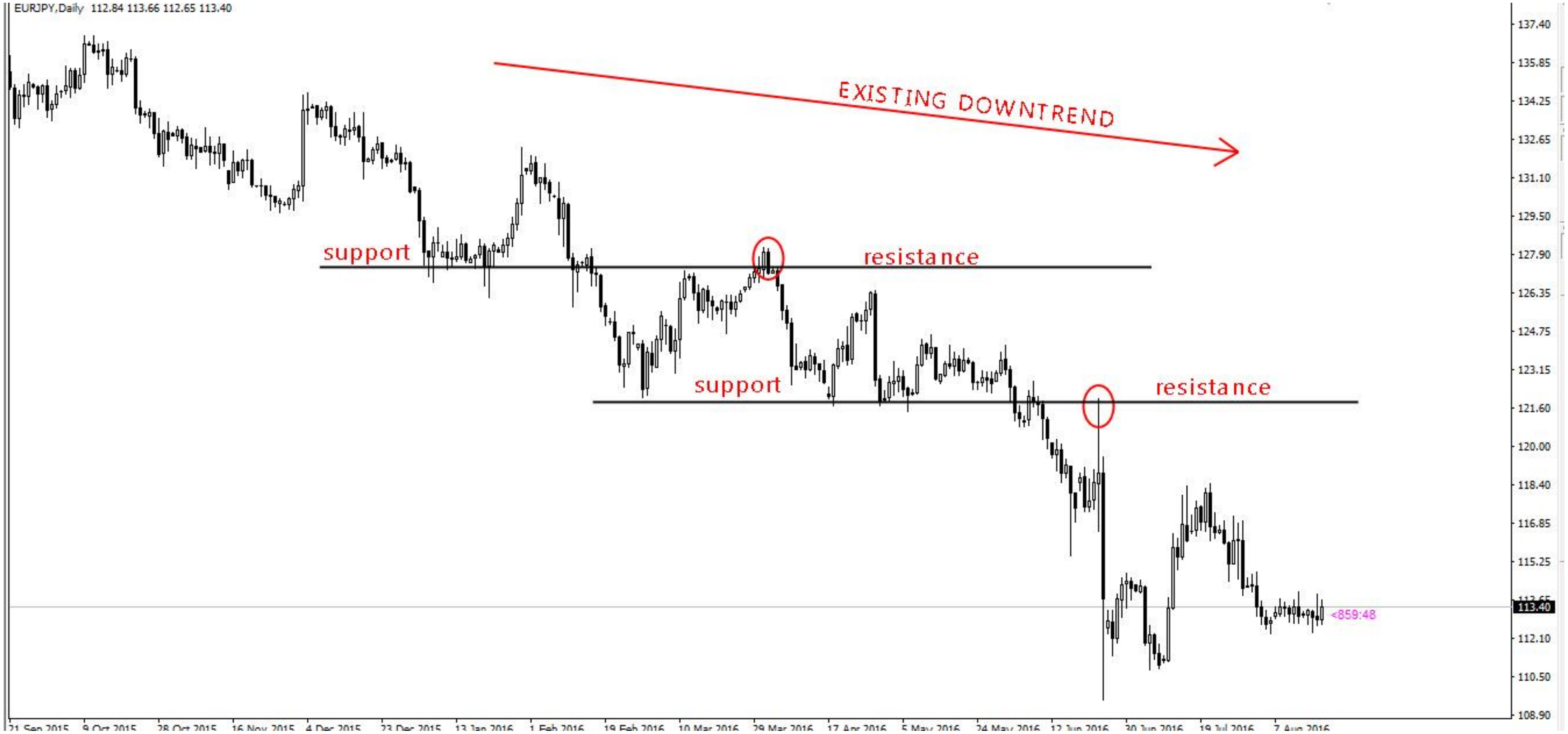
- 50% retrace levels. It’s common knowledge that most major moves in the markets tend to retrace approximately 50% at some point after they form.

- A price action signal

Combining levels of confluence with price action signals

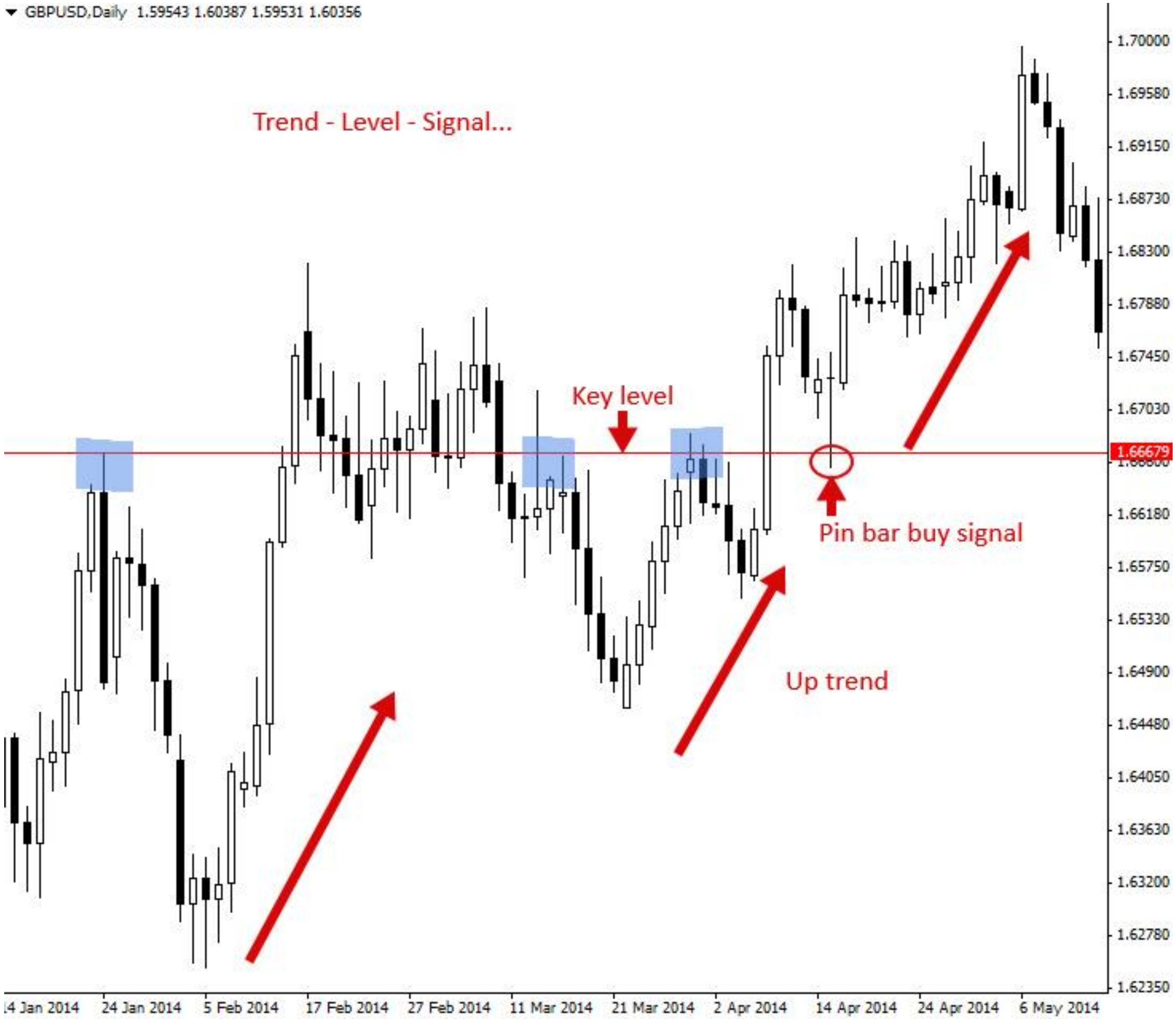
▪before we take a trade, we need to make sure that we have all the factors of confluence in place such as Trends, Levels and Price action signal.

T.T.L.F. in action...



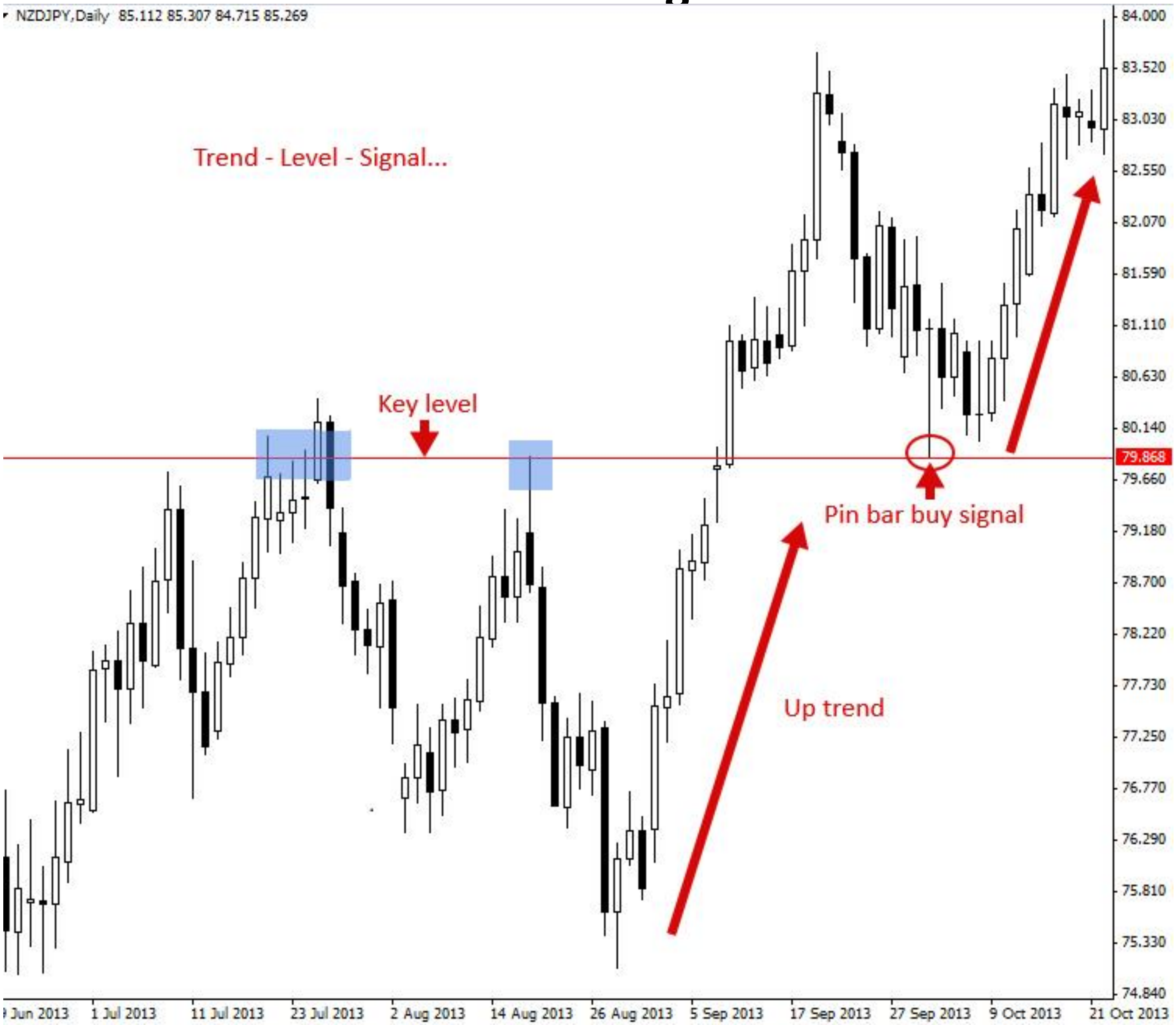
Price Action Trading

Trends - Levels - Price Action Signal



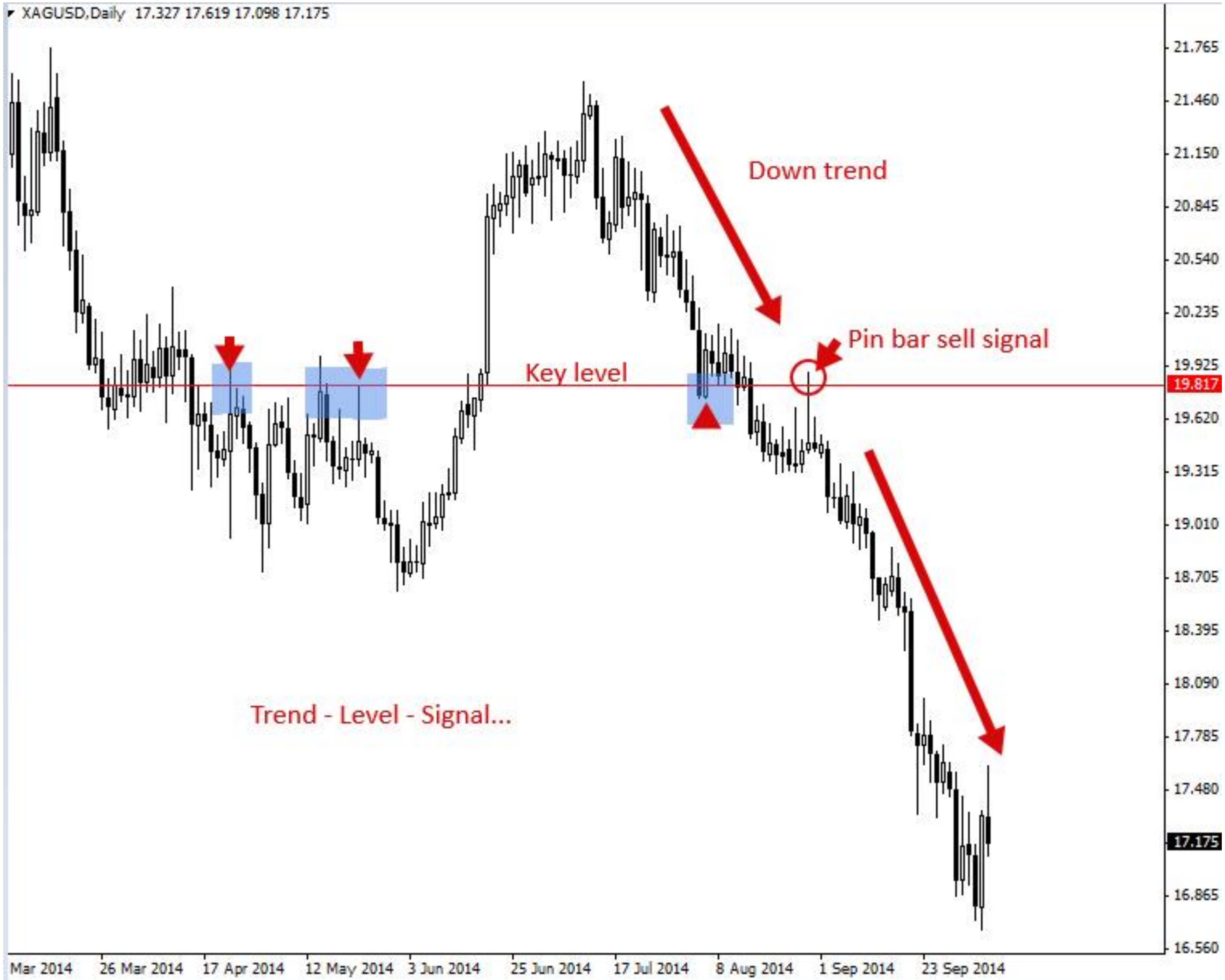
Price Action Trading

Trends - Levels - Price Action Signal

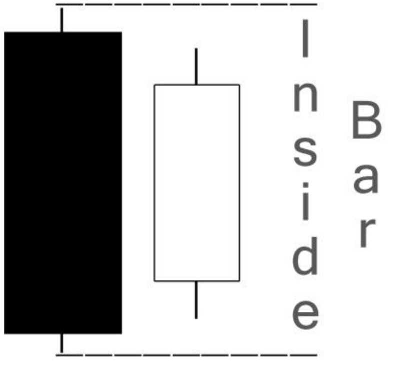


Price Action Trading

Trends - Levels - Price Action Signal



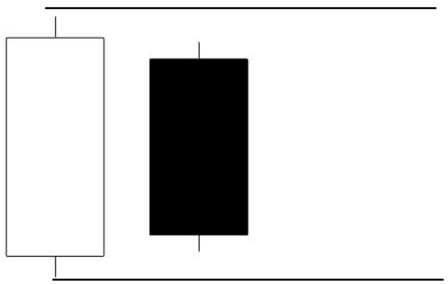
INSIDE BAR



What is Inside bar?

•A series of bars contained within a mother bar or base bar

•A pause or consolidation in the market

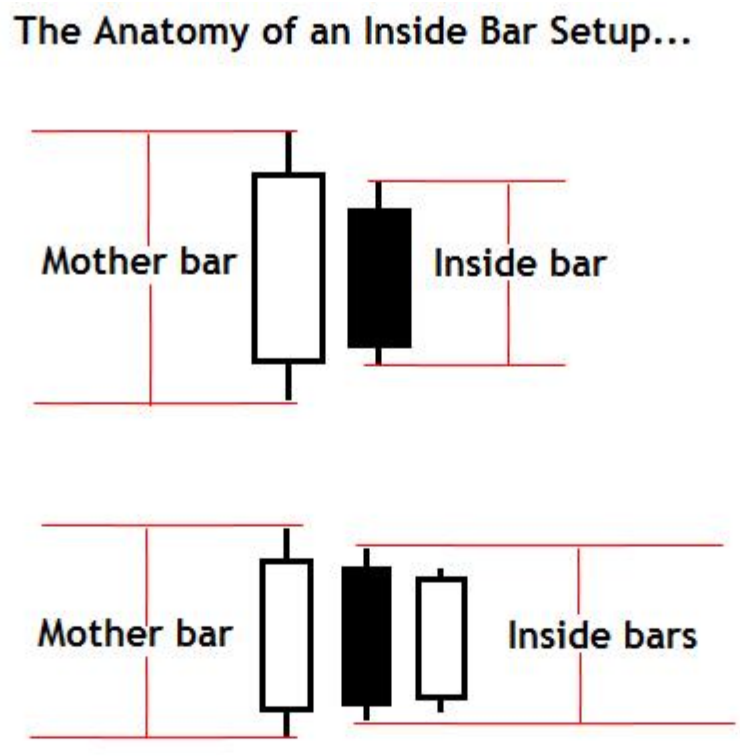


•A continuation strategy from an existing trend

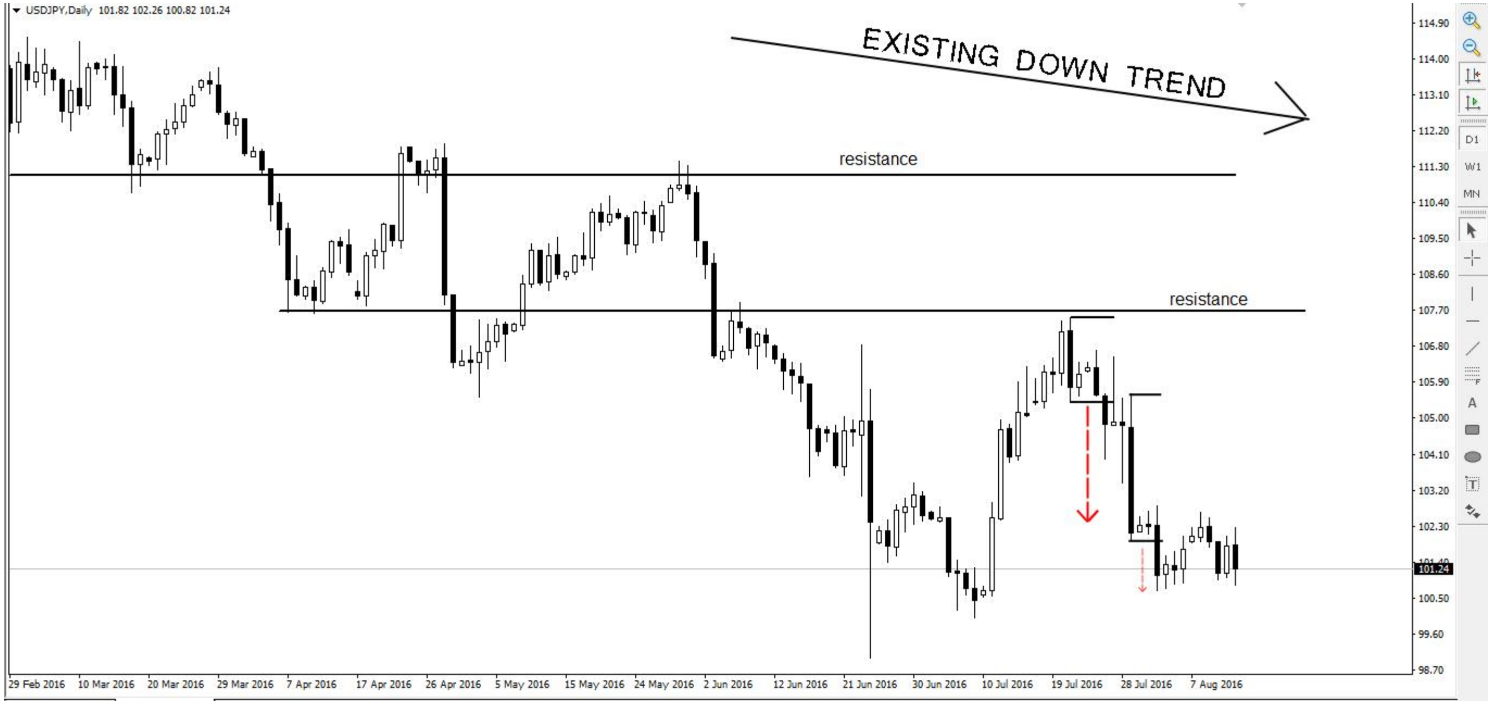
•**Important note:** Since the inside bar setup is by its very nature a potential breakout signal, I ONLY enter an inside bar on a breakout of the mother bar high or low. If I am looking to buy, I will place a buy on stop entry just above the mother bar high, and if I am looking to sell I will place a sell on stop entry just below the mother bar low.

Anatomy of Inside Bar

In the example image below, we can see the anatomy of an inside bar setup. Note that the inside bar is fully contained within the range of the high and low of the mother bar. You can have multiple inside bars within the range of one mother bar. If you see a pattern of consecutive inside bars that are "coiling" and all within the previous bar's range, this can signal that a powerful breakout might be coming



Example of Inside Bar break



What does Inside Bar mean?

•The inside bar forex trading strategy is a 'flashing light', a major signal to the trader that reversal or continuation is about to occur.

•An inside bar indicates a time of indecision or consolidation. Inside bars typically occur as a market consolidates after making a large directional move, they can also occur at turning points in a market and at key decision points like major support/resistance levels.

•They often provide a low-risk place to enter a trade or a logical exit point.

•While they can be used in both scenarios, inside bars as continuation signals are more reliable and easier for beginning traders to learn.

How to trade Inside Bar Setup

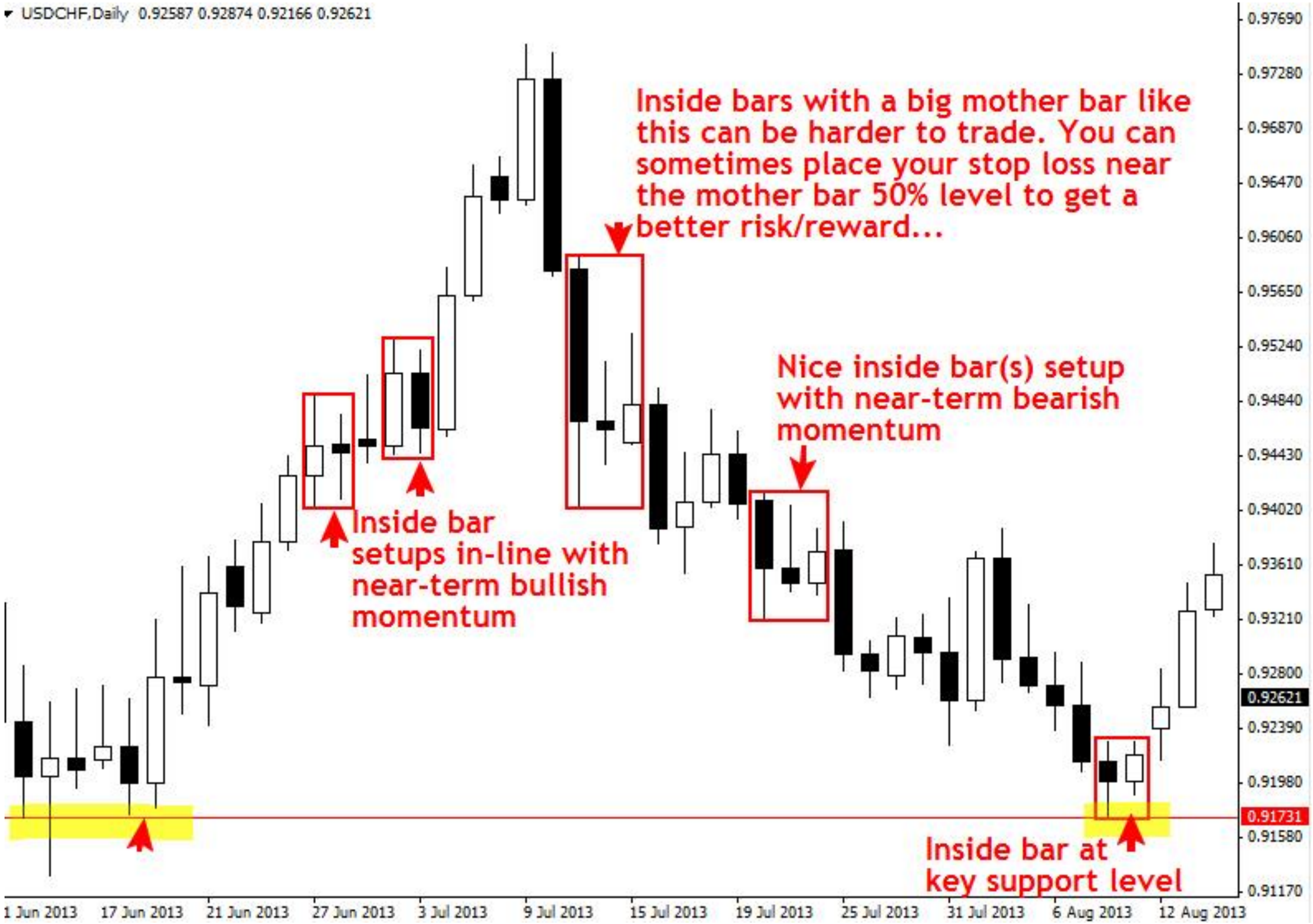
•There are basically two ways to trade an inside bar setup:
As a continuation signal or as a reversal signal.

The chart image on the next slide has a variety of inside bars for us to pick apart…

First, you will see that we have inside bars that acted as **continuation signals**, that is they resulted in a continuation of the previous momentum before their formation. These continuation inside bars often result in nice breakouts in-line with the **current trend** and **near-term momentum**.

We can also see a good example of an inside bar that acted as a **reversal or turning point signal.** Note on the far right side of the chart an inside bar formed at a **key support level**, the market then broke back the other direction and made a nice move higher from the inside bar / stalling pattern that formed at a previous level of key support.

How to trade Inside Bar Setup



How to trade Inside Bar Setup

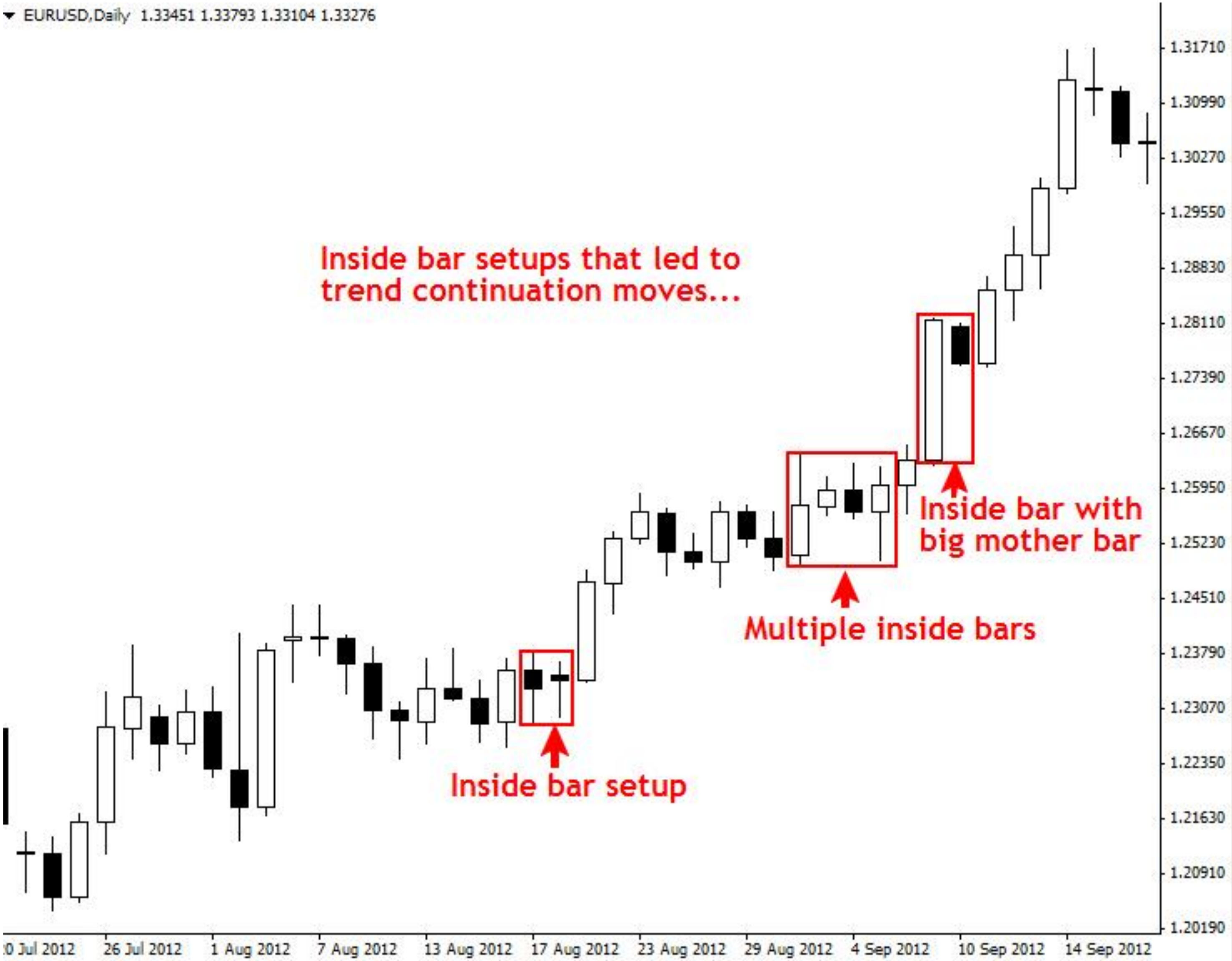
- **Important note:** There are basically two different stop loss placements for inside bar setups, and you will have to use some discretion in determining the best one for each inside bar you trade. The “classic” and most commonly used stop loss placement will be just above or below the mother bar high or low, depending on if you are trading long or short of course. I typically go with 1 pip above or below the mother bar high or low.

Inside bar as continuation signal

- The most logical time to use an inside bar is when a strong trend is in progress or the market has clearly been moving in one direction and then decides to pause for a short time.

- Inside bars can be used when trading a trend on the 4 hour charts or the daily charts, but I personally prefer to trade inside bars on the daily charts and I recommend all beginning traders stick to the daily charts and until they have fully mastered and found consistent success with the inside bar setup on that time frame. I also recommend sticking to inside bars that are in-line with the daily chart trend as continuation signals until you have fully mastered trading them that way.

Inside Bar as Continuation Signal



Inside Bar as Reversal Signal

- You can sometimes trade inside bars as reversal signals from key chart levels. Note that this should ONLY be tried after you have successfully mastered trading inside bars in-line with the daily chart trend as continuation / breakout plays, as we discussed above.

- On the chart on the next slide, we can see an example of a good inside bar reversal signal. Of critical importance here, is that the inside bar formed at a key chart level, indicating the market was hesitating and "unsure" if it wanted to move any higher. We can see a decent downside move occurred as price broke down past the inside bar's mother bar low..

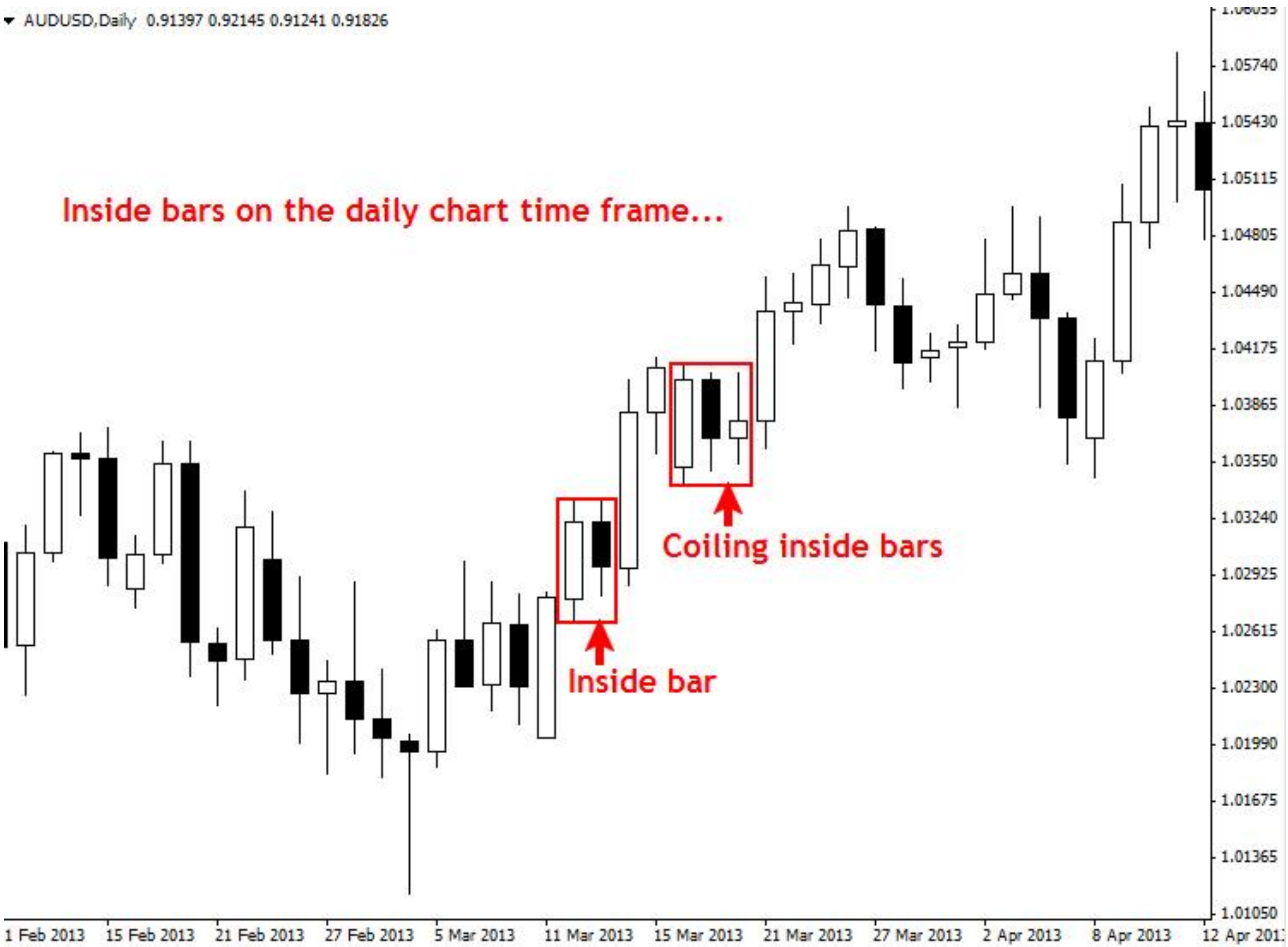
Inside Bar as Reversal Signal

The Best TimeFrame To Trade The Inside Bar

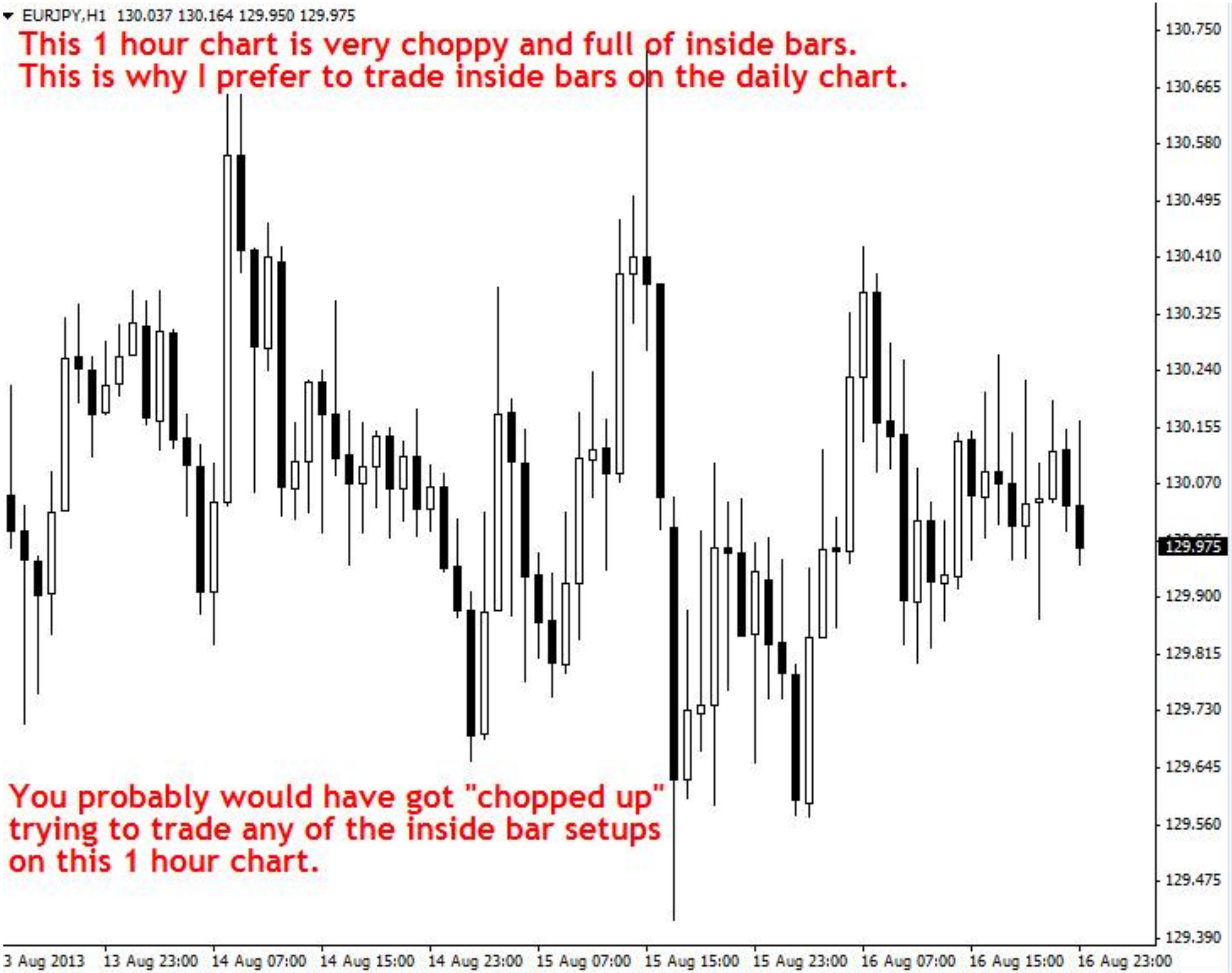
•Inside bars work well on the daily chart time frame. The main reason is that time frames under the daily chart inside bars simply grow too numerous to be worth trading. There can be long strings of inside bars on a 4 hour or 1 hour chart before a breakout for example, and trying to trade them will most likely cause you a lot of frustration due to all the false breaks that can occur on those chart time frames.

The daily chart is the best for inside bars, and even the weekly chart can sometimes yield some very lucrative inside bar setups.

The Best TimeFrame To Trade The Inside Bar



The Best TimeFrame To Trade The Inside Bar

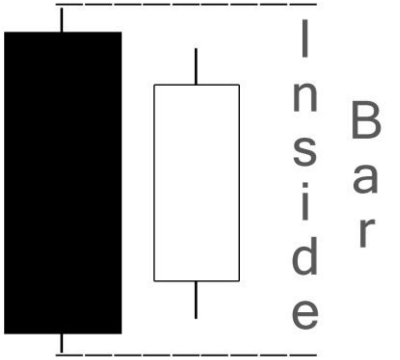


In conclusion

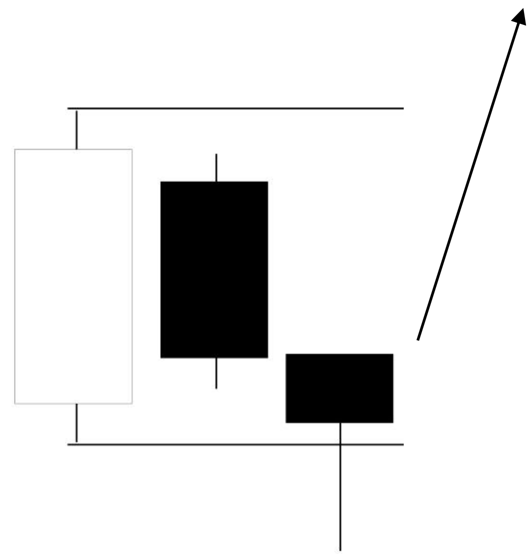
- Inside bar pattern is one of a price action trader's arsenal that sometimes overlooked by other traders and miss out this big explosive moves in the market.

- Inside bar can be used as a reversal point but is powerful and reliable as a breakout mechanism from an existing trend.

- The best time frames to trade the inside bar are on higher timeframes such as H4, D1 or even W1.



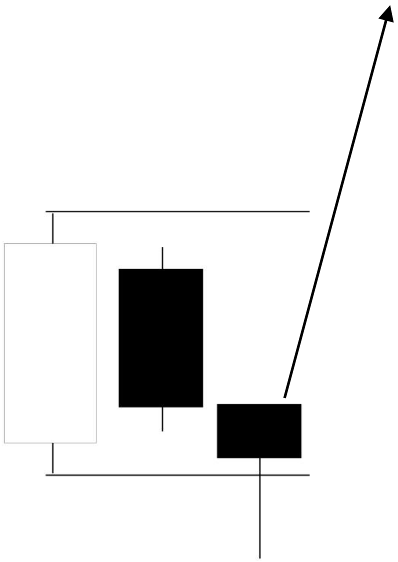
Fakey



What is a Fakey?

•A fakey pattern in the market means that a false-breakout of an inside bar pattern has occurred.

•a fakey is when price initially breaks one way from an inside bar pattern but then price snaps back the other direction, creating a false break of the inside bar structure.

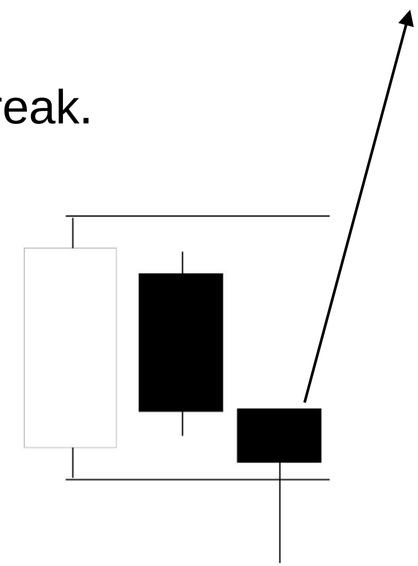


•Essentially, a fakey means that the bigger market players (banks, hedge funds, big money traders) have either

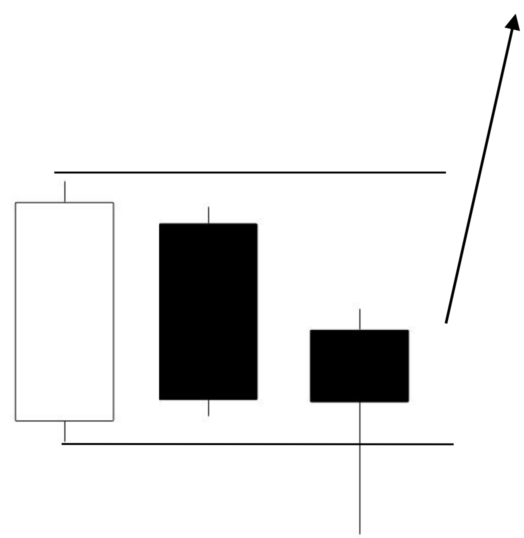
- •1) Purposely ran the stops (stop losses) on small retail traders, sucking them out of their positions and creating a ‘vacuum’ for price to reverse back in the opposite direction
- • 2) Reacted to some big market event that has caused price to snap back the opposite direction from an initial breakout.

What is a Fakey?

•the fakey setup is a very strong signal that price may continue to move in the direction opposite the false-break.

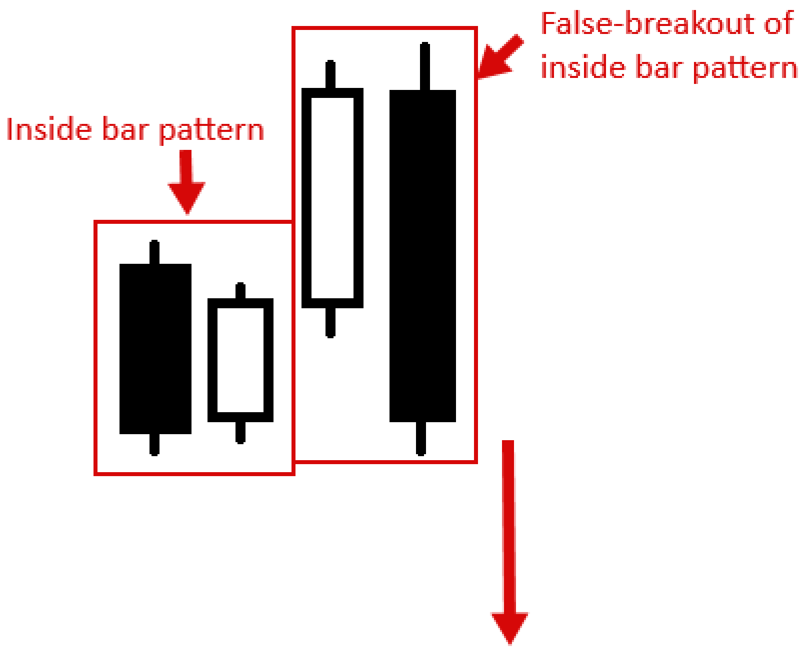


•So, if for example, an inside bar setup false-breaks to the downside, forming a ‘bullish’ fakey pattern, the implication is that price may continue moving upper, opposite to the direction of the initial breakout.

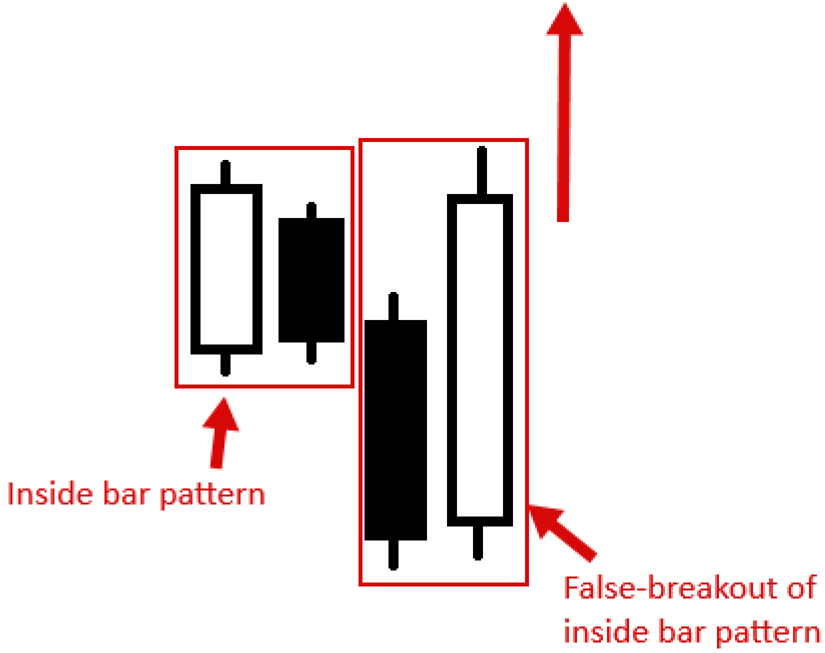


Example of a Fakey

Bearish fakey pattern

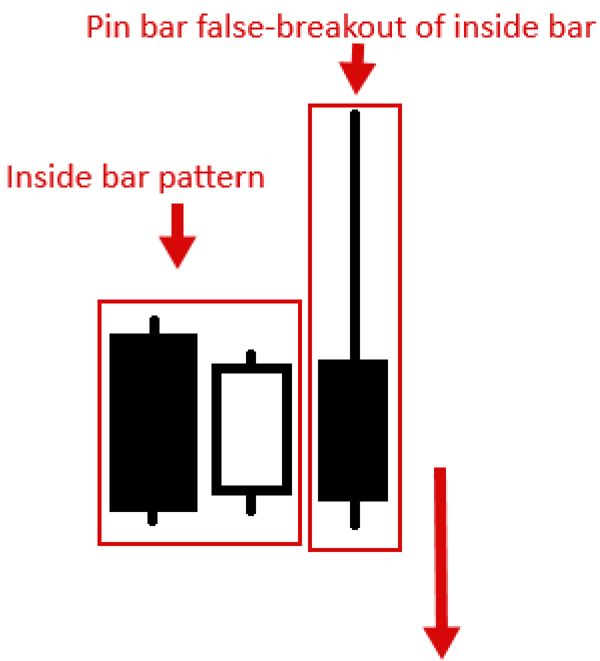


Bullish fakey pattern

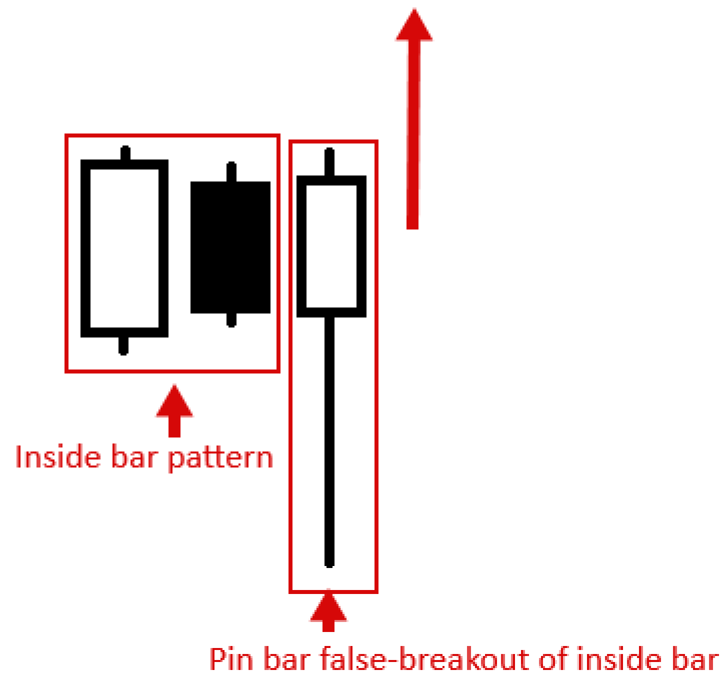


Example of a Fakey

Bearish fakey with pin bar pattern

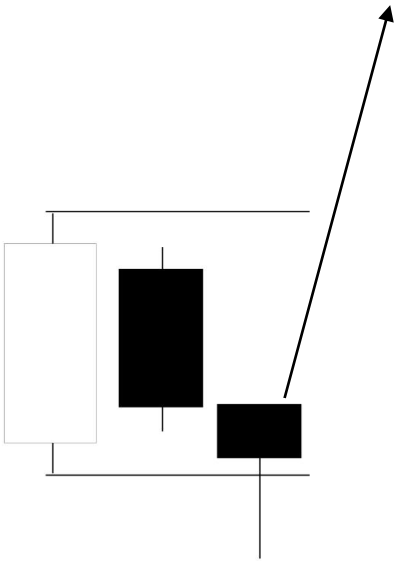


Bullish fakey with pin bar pattern

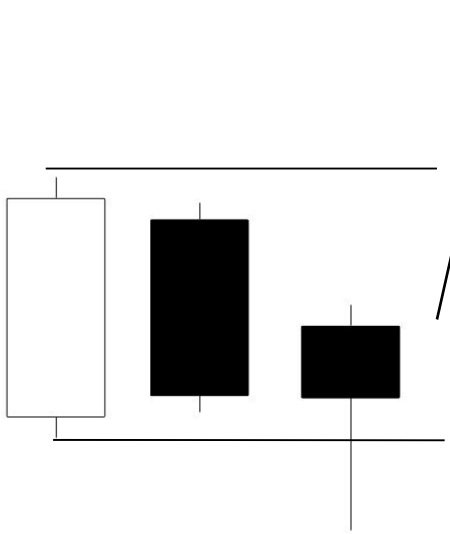


How to trade a fakey

• fakey can be used in a trending market or in a range bound market or even against a trend if it’s at a key support or resistance level.



•The fakey provides us with a high-probability entry point as well as an obvious stop loss



Example of a fakey

Price Action Trading

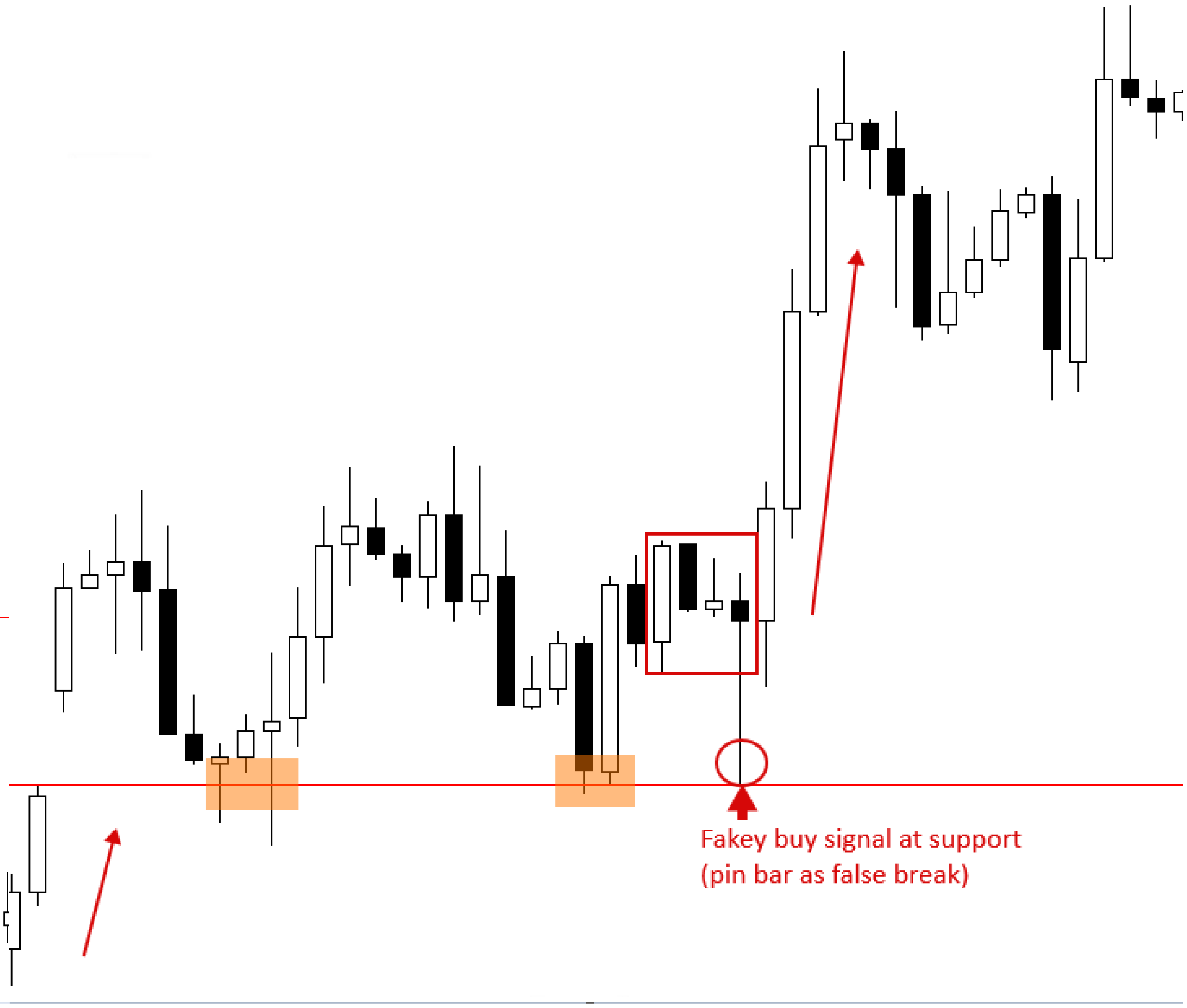
example of a fakey signal, but this time it's one that formed at the upper boundary / key resistance of a trading range. Note, the false-break on this fakey was not quite a 'pin bar' because the real body of the candle was not small enough relative to the tail, but it was a bearish tailed reversal bar. Notice how price not only reversed to the downside after this fakey, but it actually kicked off a new downtrend

Example of a fakey

Price Action Trading

Another example (left), we can see that the market was clearly trending higher before a period of consolidation / range-bound movement and then a fakey buy signal formed at the trading range support. Your stop loss would mostlogically be placed just below the lowest point of the two-bar false-break. This fakey formed at what I would call a confluent chart level because we had multiplesupporting factors for the trade; in this case the support level and the uptrend

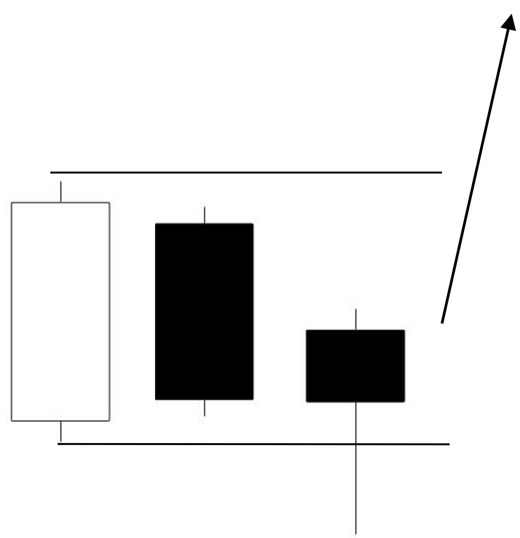
Example of a fakey



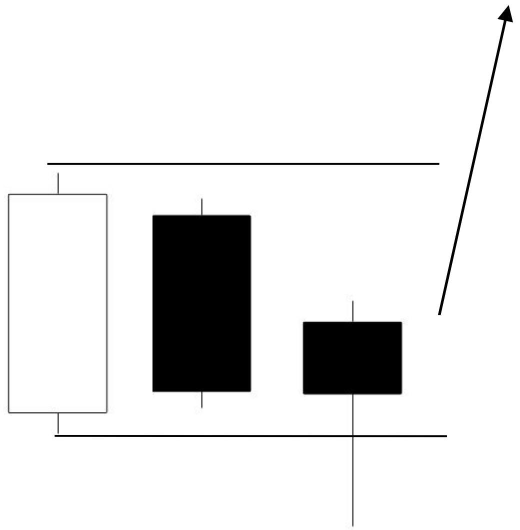
you don't need to have only one inside bar in a fakey structure, sometimes you will see two or three inside bars or possibly more. In the example (left) we see a nice fakey pin bar combo pattern with two inside bars before the pin bar false-breakout, this is totally OK and is something you'll probably see often in fakey setups:

Things to note for a fakey

•The KEY defining characteristic of a good fakey signal is a CLEAR false break of the inside bar structure. If you have an OBVIOUS false breakout of an inside bar, then you may just have a good fakey on your hands, assuming it has some confluence and makes sense in the context of the market. If you have to wonder and guess / ask other traders if a certain pattern is a fakey, then the false-break is probably not obvious enough for you to risk your money on. The best fakey's are dead obvious and won't require a lot of 'deciphering' on your part.



In conclusion



- The fakey pattern is an extremely powerful price action pattern if you know how to properly spot it and trade it. What a fakey reflects to us, is a reversal in market sentiment and a ‘fake out’, which obviously has some profound trading implications. A false breakout is a very big clue in the market, it shows us what the ‘big boys’ are thinking and doing and gives us an opportunity to take advantage of that.

- Amateur and beginner traders often get caught up in buying breakouts. Indeed, there are entire trading strategies and systems built around trading breakouts. Breakouts are one of the oldest and most over-used trading approaches in existence, and for that reason, they are easily snuffed out and taken advantage of by the bigger market players, whilst smaller retail traders are usually the ones getting taken advantage of.

- A fakey pattern is essentially gives price action traders the ability to truly trade like the ‘big boys’.